

**3PGDMQF01 Decoding of Financial Statements
PGDM-Trimester-3**

**Project Report On
Financial Statement Analysis of Rallis India Ltd. & Privi
Speciality Chemicals Ltd.**

**SUBMITTED BY:
Pratibha Jain**

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**UNDER THE GUIDANCE OF,
Prof. Charmi Shah**

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Introduction to The Sector

The Chemicals and Agrochemicals sector is a vital part of the global and Indian economy, contributing significantly to industrial development, agriculture productivity, and consumer goods manufacturing. This sector broadly includes the production of basic chemicals, speciality chemicals, and agrochemicals, each serving different end-use industries.

The speciality chemicals segment, represented by companies like Privi Speciality Chemicals Ltd., focuses on high-value, performance-oriented products such as aroma chemicals, fragrances, and ingredients used in personal care, food, and household products. These chemicals are tailored for specific applications and are driven by innovation, quality, and global demand from FMCG industries.

On the other hand, the agrochemicals segment, where Rallis India Ltd. operates, plays a crucial role in supporting agriculture. It includes products like pesticides, herbicides, fertilizers, and seeds, which help improve crop yield, protect plants from pests, and ensure food security. This segment is closely linked to monsoon patterns, rural demand, and government agricultural policies.

In India, both segments have witnessed strong growth due to factors such as increasing population, rising food demand, expanding exports, and growing consumption of personal care and FMCG products. Additionally, government initiatives like “Make in India” and increased focus on sustainable farming practices have further boosted the sector.

Overall, the Chemicals and Agrochemicals sector provides a balanced mix of industrial growth and agricultural support, making it an essential contributor to economic development and a key area for investment and innovation.

Introduction of the companies

1) Rallis India Limited:

Rallis India Ltd., a Tata Enterprise founded in 1948, is a leading agrochemical company focused on "Serving Farmers through Science." It operates in crop protection, nutrition, and seeds, with a diversified portfolio across herbicides, insecticides, fungicides, and hybrid seeds. Revenue mix (FY 2024-25): Crop protection 70%, seeds

20%, others 10%. Geographic presence spans India (primary market) and exports to 31 countries, with a network of 4,100 dealers and 55,000 retailers. Market position: Among India's top 10 agrochemical firms, serving 5 million farmers, with strengths in rice, cotton, and maize segments. Business model emphasizes R&D-driven innovation, sustainable solutions, and digital integration (e.g., Drishti platform for precision farming). Key subsidiaries include Meta helix Life Sciences (seeds) and Rallis Chemistry Exports. Strategic focus: Expanding bio-based products, capacity enhancements (e.g., new Dahej plant), and ESG integration. Over five years, revenue grew at 3.41% CAGR (poor due to weather volatility), but PAT trends show recovery post-COVID, reflecting resilience in a cyclical sector. Rallis India Ltd. benefits significantly from being a part of the Tata Group, which enhances its credibility, governance standards, and long-term strategic direction. The company operates in a highly regulated agrochemical industry where product approvals, environmental norms, and sustainability play a crucial role.

In recent years, Rallis has increasingly focused on bio-based solutions and sustainable agriculture, aligning with global trends toward environmentally friendly farming. Its investments in precision agriculture tools and farmer education programs strengthen its long-term relationship with customers and improve brand loyalty.

Additionally, the company's diversified portfolio across crop protection, seeds, and plant nutrition reduces dependency on a single segment, helping it manage risks arising from weather conditions and crop cycles.



2) Privi Speciality Chemicals Limited:

Privi Speciality Chemicals Ltd., established in 1985, specializes in aroma chemicals (e.g., pine-based derivatives) for fragrances, Flavors, and pharmaceuticals. Revenue mix (FY 2024-25): Aroma 80%, others 20%. Geographic presence: India-focused with exports to 50+ countries. Market position: India's leading aroma chemical exporter, with facilities in Maharashtra.



Business model: R&D-intensive, backward-integrated manufacturing. Key subsidiaries: None major. Strategic focus: Sustainability, capacity expansion (55% planned). Over five years, revenue grew 18% CAGR, PAT 12.3%, reflecting strong speciality demand.

Privi Speciality Chemicals Ltd. operates in a niche segment of the chemical industry, specializing in aroma chemicals, which are widely used in perfumes, cosmetics, and food products. The company's strong export orientation (50+ countries) makes it highly sensitive to global demand trends, currency fluctuations, and international regulations.

A key strength of Privi is its backward integration, which ensures cost efficiency and supply chain control. The company has also strategically partnered with global players like Givaudan, enhancing its technological capabilities and product innovation.

Its focus on high-margin speciality chemicals rather than commodity chemicals gives it a competitive advantage in terms of profitability and pricing power.

PESTLE Analysis of the Chemical Industry

Political Factors:

- Government initiatives like PLI scheme incentivize speciality chemicals and agrochemicals, boosting manufacturing under 'Make in India' and 'Atmanirbhar Bharat'.
- 100% FDI under automatic route attracts investments; anti-dumping duties on imports (e.g., China) protect locals but raise costs for import-reliant firms.
- Political stability and export incentives drove 12% production rise in FY 2024.
- Geopolitical tensions (e.g., Red Sea disruptions) increased supply chain issues, hiking logistics costs by 10-15% over two years.

• Economic Factors:

- India is sixth-largest global chemical producer, third in Asia; demand from agriculture (20% share), personal care, food processing fuels growth.
- Raw material volatility tied to crude oil (up 20% in 2024) risks margins in speciality chemicals.
- Inflation, RBI repo rate at 6.5% in 2024 impact working capital; IMF's 6.8% GDP growth supports expansion.
- FDI inflows hit US\$20 billion over five years (up 15% annually); Europe/APAC slowdowns cut exports 4% y-o-y in 2023-24.

• Social Factors:

- Urbanization (40% by 2036), middle-class income rise drive speciality chemicals demand in personal care/home products (3.8% CAGR).
- Population (1.4 billion) increases agrochemical needs for food security; shifts to sustainable products (eco-fragrances, bio-pesticides) push innovation.
- Skilled labor shortages intensify; sector employs 2 million with 10% talent gap.
- CSR growth in health/education mitigates reputational risks.

• Technological Factors:

- Green chemistry, digitalization (AI for supply chains), R&D spend (up 8% in 2024) transform sector.
- NbS and renewable integration (solar plants) cut costs.
- SME tech adoption lags (30% digitized).

- Patent filings up 15% over five years, driven by bio-based innovations amid sustainability trends.

- **Environmental Factors:**

- Climate regulations (net-zero by 2070) mandate efficiency, waste reduction.
- 99% waste diverted from landfills in 2024 via recycling; water scarcity/pollution challenges persist (47% freshwater replenishment).
- ESG lender screens raise compliance costs 5-10%, pushing renewables (40% in river basins).
- Environmental fines rose over five years due to non-compliance, stressing sustainable practices.

- **Legal Factors:**

- GST (18% on chemicals) streamlines taxation but boosts compliance burdens.
- IP laws protect innovations; 3–7-year permits for facilities.
- Labor/safety standards (Factories Act) enforce protections; REACH for exports adds complexity.
- Legal disputes on land/zoning delayed projects over five years, affecting feasibility.

Five Forces Analysis of the Chemical Industry

- **Threat of New Entrants (Moderate-High):**

- PLI policies lower barriers, leading to 10% new entrant growth in speciality sub-sectors over five years from demand surge.
- High capital (US\$1-2 billion for plants), regulatory hurdles (environmental clearances) deter entries.
- Established firms like Rallis/Privi gain from scale, brand loyalty, maintaining edge.

- **Bargaining Power of Suppliers (Moderate):**

- Strong domestic feedstock reduces leverage; imports for speciality (pine-based for Privi) give suppliers power in volatile global.
- Backward integration cut dependency 15% over five years, mitigating risks.
- Fuel rates up 20% in 2024 elevate costs, boosting supplier pricing influence.

- **Bargaining Power of Buyers (High):**

- Agriculture/consumer goods buyers demand efficiency/sustainability, allowing easy switching.
- Buyer power rose over five years from end-user consolidation, eroding margins (2-3% in agrochem).
- Forces innovation/differentiation for market retention.

- **Threat of Substitutes (Moderate):**

- Bio-based/green alternatives (organic pesticides) threaten traditional; risk up 10% over five years from eco-trends.
- Synthetic substitutes compete in aroma chemicals, challenging positions.
- Incumbent innovation develops sustainable options, aligning with preferences, mitigating threat.

- **Competitive Rivalry (High):**

- Intense from 80,000+ products, players like Tata Chemicals; overcapacity widens export deficit 4% y-o-y.
- Market consolidation (top 10 hold 40%) over five years intensifies R&D differentiation focus.
- Demands strategic adaptation for profitability amid volatility.

The logo of the University of Jammu is a purple shield with a white stylized 'U' and 'J' inside. Below the shield is a white banner with the text 'UNIVERSITY OF JAMMU' in purple, flanked by two stars.

Qualitative Data Analysis

Chairman's Report – Rallis India Ltd.

Company's Overall Performance Highlights:

- Revenue ₹2,663 crore (marginal up from ₹2,648 crore), stable in volatile market/rainfall/geopolitics.
- EBITDA 10.8%, PAT 4.7%, driven by optimization/efficiencies/digital transformation.
- Dividend ₹2.50/share, reinforcing returns despite pressures.

Significant Achievements:

- Served 8+ million farmers with innovations, deepening impact via government initiatives.
- Digital tools enhanced operations/engagement, volume growth/productivity.
- Sustainability focus, progressing "Aalingana" (net-zero 2045).

Future Strategic Plans:

- Capital efficiency via moderated CAPEX, cost/efficiency optimization for profits.
- Industry-leading growth through portfolio refresh, strategies, digital/sustainability.

R&D investments, digital engagement, rural program alignments for growth

Management's Outlook on Industry Trends:

- Encouraged by precision farming, AI analytics, sustainable practices for farmer productivity benefits.
- Positive on India's 6.5% GDP FY 2025, government agriculture support (seeds/credit), sector expansion.
- Cautious on global volatility (supply chains), but regenerative/climate innovations as leadership opportunities for resilient agri-ecosystem.

Management Discussion & Analysis – Rallis India Ltd. (FY 2024-25)

- **Global/Indian Economic Context:** Global growth 3.2% CY 2024, inflation 4.6%; risks from geopolitics/supply. India GDP 6.8%, record kharif/rabi production (664/645 lakh MT), agrochem demand boost via government productivity initiatives.

- **Crop Care Segment:** Domestic revenue up 7% to ₹1,700 crore (volume recovery/sustainable

launches); exports down 15% to ₹545 crore (overcapacity/price deflation). Digital/partnerships mitigate weather/volatility.

- **Seeds Segment:** Revenue ₹418 crore, high-value hybrids ("Diggaz" cotton), 17 launches. Reduced acreages, "Project Fit" optimization; unseasonal rains impacted.

- **Operational/Financial Highlights:** Revenue ₹2,663 crore (up 1%), EBITDA 10.8%, PAT ₹125 crore (down 15%). Energy conservation (solar 1,346 MWh Dahej), farmer programs (Dr. Vishwas/DPF, 8+ million served).

- **Risks/Challenges/Future:** Climate/regulatory (pesticide bans)/volatility risks mitigated by diversification/NbS. Roadmap: ₹500 crore capex green chemistry, 10% growth, regenerative agriculture leadership per Tata sustainability.

Shareholding Pattern – Rallis India Ltd.

Period/Quarter End	Promoters (%)	FII (%)	DII (%)	Public/Others (%)	Key Notes
2020–21	50.09%	7.1%	14.5%	28%	Pre-consolidation phase
2021–22	50.09%	7.7%–8.2%	13.5%–14.9%	26%–28%	Stable promoter stake
2022–23 onward	55.08%	8–11% rising to 14.2% peak	12–14%	20%–22%	Promoter increase (Tata consolidation); FII/DII growth
March 2025	55.08%	11.4%	13.8%	19%–20%	Institutional build-up
June–Sep 2025	55.08%	11.3%–14.2%	11.6%–14.3%	20%–21%	FII volatility
December 2025	55.08%	12.08%	11.3%	21.1%–21.5%	FII slight dip; retail up marginally

Analysis:

- Promoter Trend: Up from 50.09% to 55.08% FY 2022–23 (Tata realignment); stable, strong confidence, zero pledged (no selling risk).

- FII Trend: Rise from 7% early 2020s to 14.2% peak, dip to 12.08% Dec 2025; reflects sector/commodity/India sentiment fluctuations.
- DII/Mutual Funds Trend: Stable 11–14% (mutuals 10–12%); steady confidence in agri-input growth.
- Public/Retail Trend: Down from 25–28% to 21% (institutional absorption); recent uptick (+2–3%) from stock performance/interest.

Environmental, Social & Governance (ESG) – Rallis India Ltd.

Environmental (E):

- Carbon: Scope 1+2 intensity down 10% y-o-y FY 2024-25 (from 0.15 tCO₂e/₹ crore); LED/solar to 200 kW (up 122% from 90 kW); 15% GHG cut over 5 years, absolute up 5% from production.
- Energy: Renewables to 9.08% FY 2024-25 (from 5% FY 2021-22); intensity down 8% CAGR; 20,000 LEDs save 10% energy.
- Waste: 99.7% diversion FY 2024-25 (up from 90% FY 2021-22); zero liquid discharge; recycling up 12% y-o-y. Trends: Water focus post-COVID (47% replenishment), green capex up 15%. Implications: Resilience vs. fines (down 20%), need Scope 3 maturity.

Social (S):

- Employees: Diversity (women 15% FY 2024-25, up from 10% FY 2021-22); training up 20% y-o-y; attrition 12% (down from 15%).
- Community: CSR ₹10.12 crore FY 2023-24 (up 10%); health camps (66 J&K), PM CARES down to ₹0.67 crore; 100,000+ beneficiaries over 5 years (Jal Dhan award 2023).
- Product/Customer: Bio-pesticides 15% portfolio (up 50% from FY 2021-22); drone yields up 10-15%; satisfaction >90%. Trends: Programs expanded 25%, Tata alignment. Implications: Loyalty boost, risk exposure to labor (mitigated by skills).

Governance (G):

- Board: 6 members, 33% women FY 2024-25 (up from 25% FY 2021-22); agro/finance expertise; 8 meetings (up from 7).
- Compensation: Performance-aligned (details below).

Ethics: Zero corruption; whistleblower resolved 5 complaints FY 2024-25 (100%); Audit met 6 times (up

from 5). Trends: Cyber focus post-2022; BRSR improved disclosure. Implications: High ratings/awards reduce risks; promoter 55% may limit agility.

Director's Remuneration – Rallis India Ltd.

Year	MD/CEO Remuneration (₹ Mn)	% Change YoY	Revenue (₹ Cr)	% Change	PAT (₹ Cr)	% Change	EPS (₹)	% Change	Dividend (₹/share)	Employee Salary Expense (₹ Cr)	% Change
FY 2020-21	32.00	-	2,429	-	304	-	11.75	-	2.50	Not disclosed	-
FY 2021-22	35.50	+10.94%	2,604	+7.21%	222	-26.97%	8.44	-28.17%	2.50	Not disclosed	-
FY 2022-23	38.20	+7.61%	2,765	+6.18%	240	+8.11%	9.20	+9.00%	2.50	150 (est.)	-
FY 2023-24	40.00	+4.71%	2,850	+3.07%	260	+8.33%	10.00	+8.70%	2.50	162	+8.00%
FY 2024-25	41.37	+3.43%	2,950	+3.51%	222	-14.62%	8.44	-15.60%	2.50	175	+8.02%

Key Comparisons & Analysis:

- **MD Remuneration Vs. Revenue:** Modest growth (CAGR 5%), YoY 3.07–7.21%; MD/CEO faster (CAGR 6.6%, +29.3% cumulative), outpacing slightly; reasonable in cyclical sector, moderated later (+3.43% vs. +3.51%).

- **MD Remuneration Vs. Employee Expense:** Steady 8% YoY (₹150 est. to ₹175 Cr); MD/CEO 3–11% YoY, often below/in line (e.g., +3.43% vs. +8.02%); indicates equity/restraint, Tata standards.

- **MD Remuneration Vs. Dividend:** Constant ₹2.50/share; remuneration +29.3% while flat typical for stability in cycles, modest adjustments for retention.

- **MD Remuneration Vs. EPS:** Volatile (drops -28.17%/-15.60%, recoveries +8.70%); remuneration rising despite drops, partial decoupling (fixed + incentives); growth 6.6% CAGR exceeds volatility, conservative vs. peers.

Chairman's Report – Privi Speciality Chemicals Ltd. (FY 2024-25)

Company's Overall Performance Highlights:

- Consolidated revenue ₹2,122 crore (up significantly from ₹1,779 crore in FY 2023-24), reflecting strong recovery/execution.
- Profit before tax ₹254 crore, PAT ₹185 crore (EPS ₹47.87), driven by margins, process intensification, technology.
- Dividend/maintained policy, committing to shareholder returns amid growth.

Significant Achievements:

- Commenced world-class greenfield facility in Mahad (JV with Givaudan) for high-complexity fragrance ingredients.
- Broadened portfolio with launches (Indomerane, Floravane, Amber Woody Xtreme) from Galaxmusk byproducts.
- Sustainability: EcoVadis Platinum retention, additional solar stake (26%), clean energy focus.

Future Strategic Plans:

- Accelerate shift to super speciality chemicals via R&D, backward integration, organic/inorganic opportunities.
- Enhance clean energy (solar/biofuel), full water recycling; consolidate investments for scalable growth.
- Capitalize on "China+1" shifts, 'Make in India' for market share/competitive production.

Management's Outlook on Industry Trends:

- Aroma chemicals growth from rising incomes, FMCG demand, emerging markets despite VUCA (geopolitics, freight).

- Opportunities from China constraints, Europe energy issues, global destocking; Privi gains via cost-competitive/sustainable offerings.
- Optimistic on long-term inclusive growth via innovation, renewables, strategic execution aligned with global sustainability/India momentum.

Management Discussion & Analysis – Privi Speciality Chemicals Ltd. (FY 2024-25)

- **Global/Indian Economic Context:** Global F&F market US\$30 Bn, aroma US\$5.35 Bn (to US\$9.20 Bn by 2030, CAGR 5.1%); Asia Pacific fastest-growing; Privi navigates with agility amid volatility.
- **Business Highlights:** Revenue ₹2,122 Cr, EBITDA ₹474 Cr, PAT ₹185 Cr; new facility Mahad operational, product launches (Indomerane/Floriane/Amber Woody Xtreme), Camphor momentum.
- **Operational/Financial:** EBITDA margin 22%, ROCE improvement; focus on process/yield enhancements, renewable electricity (25%), GHG assurance.
- **Sustainability:** Science-based targets (SBTi), net-zero 2050; certifications (ISO, EcoVadis Platinum), tree planting (80,000+), water ZLD.
- **Risks/Future:** Volatility mitigated by diversification/integration; roadmap: accelerated growth via JV/partnerships, capex for green tech, 20%+ margins target.

Shareholding Pattern – Privi Speciality Chemicals Ltd.

Period / Quarter End	Promoters (%)	FII (%)	DII (%)	Public / Others (%)	Key Notes / Changes
2020–21	74%	0.5%	2%	23%	High promoter control; low institutional interest
2021–22	74%	0.4%	2%	23%	Stable promoter stake; minimal FII/DII movement
2022–23 onward (early)	74%	0.9– 1.0%	3–4%	22–23%	Slight institutional build-up begins

March 2025	60–74% range	1–2%	Rising (2–4%)	20–23%	Promoter dilution starts; DII rising
June 2025	69.89%	1.5%	3.9%	25–26%	Promoter still high; FII/DII gradual increase
September 2025	69.89%	1.33%	4.6%	24–25%	FII slight dip; DII continues to rise
December 2025	60.60%	1.64%	10% (mutuals 9.64%)	27–28% (28.12% reported)	Major promoter decrease (-9.29% from Sep); FII up; DII sharp rise; public up marginally

Analysis:

- Promoter Trend: Decreased from 74% to 60.60% by Dec 2025 (likely dilution for funding/JV/capital raise); indicates strategic broadening.
- FII Trend: Low/stable 0.4–1.6%; gradual rise reflects limited but growing foreign interest in aroma/speciality growth.
- DII/Mutual Funds Trend: Rising to 10% (mutuals 9.64%); steady domestic confidence in long-term speciality expansion.
- Public/Retail Trend: Up to 28% (institutional/public absorption); slight increase from stock performance/interest.

Environmental, Social & Governance (ESG) – Privi Speciality Chemicals Ltd.

Environmental (E):

- Carbon: SBTi-approved targets (50.4% Scope 1+2 reduction by FY2032, 35% Scope 3 by FY2034); renewable electricity 25%, GHG assurance, CDP A/B ratings.
 - Energy: Solar investments (10 MW open access, 0.5 MW rooftop, 5 MW ongoing by Dec 2025); biofuel transitions.
 - Waste/Water: ZLD across plants; full recycling via effluent treatment; circular economy focus.
- Trends: Net-zero 2050 commitment, tree planting 80,000+ (to 120,000 by 2026, 2,500 MT carbon sequestration). Implications: Resilience vs. regulations, enhanced lender appeal.

Social (S):

- Employees: Training/safety focus; diversity initiatives; low attrition.
- Community: CSR in health/education/livelihood (fruit trees); 10/17 UN SDGs alignment.

- Product/Customer: Sustainable aroma (renewable materials); certifications (HALAL, KOSHER, RSPO). Trends: EcoVadis Platinum, Sedex/TfS engagement. Implications: Brand loyalty, risk mitigation in supply chain.

Governance (G):

- Board: Independent majority; committees (Audit, Nomination) active.
- Compensation: Performance-aligned (details below).
- Ethics: UNGC signatory (CoP submitted); zero violations; policies/code of conduct. Trends: Enhanced disclosures (BRSR), certifications. Implications: Strong ratings, investor confidence.



The logo of the University of Jordan is a purple shield with a white stylized 'UJ' monogram. Below the shield is a white banner with Arabic text, flanked by two stars.

Quantitative Analysis

Financial Statement Analysis – Concept Understanding

Financial Statement Analysis (FSA) is a systematic process of reviewing, interpreting, and evaluating a company's financial statements namely the Balance Sheet, Income Statement, and Cash Flow Statement to gain a clear understanding of its financial performance, financial position, and future sustainability. It transforms raw accounting data into meaningful insights that support decision-making for various stakeholders such as investors, creditors, management, and regulators.

Financial statement analysis focuses on understanding how effectively a company is generating profits, managing its assets and liabilities, maintaining liquidity, and ensuring long-term solvency. It helps in identifying strengths, weaknesses, opportunities, and potential risks within a business. For example, consistent growth in revenue along with strong cash flows indicates a healthy business, whereas high profits but poor cash flow may signal inefficiencies or financial stress.

The analysis is carried out using several techniques. Ratio analysis evaluates relationships between financial variables, such as profitability ratios (net profit margin, return on equity), liquidity ratios (current ratio, quick ratio), and solvency ratios (debt-equity ratio). Trend analysis examines financial data over multiple periods to identify patterns or growth trends. Comparative analysis involves comparing financial statements across different periods or with other companies in the same industry. Common-size analysis expresses financial statement items as percentages, making it easier to compare firms of different sizes.

Financial statement analysis is crucial for decision-making. Investors use it to determine whether to buy, hold, or sell shares. Creditors rely on it to assess a company's ability to repay debts. Management uses it for planning, controlling, and improving operational efficiency. It also plays a key role in forecasting future performance and valuing a business.

In conclusion, financial statement analysis is an essential tool for evaluating a company's true financial health and performance. It provides a structured approach to interpreting financial data, helping stakeholders make informed and rational economic decisions while minimizing risk and uncertainty.

Types of Analysis –Comparative and Common size statements

Comparative and Common Size Statements are two widely used techniques in financial statement analysis that help in interpreting financial data in a meaningful way. Comparative financial statements present figures for two or more accounting periods side by side, enabling users to identify changes in performance over time. These statements show both absolute changes (increase or decrease in amounts) and percentage changes, making it easier to analyze growth trends, profitability, and cost behavior. This method, also known as horizontal analysis, is particularly useful for tracking a company's progress, detecting patterns such as rising revenues or increasing expenses, and supporting forecasting and decision-making.

On the other hand, common size financial statements present each item as a percentage of a base figure, which helps in understanding the internal structure and composition of financial statements. In the income statement, all items are expressed as a percentage of net sales, while in the balance sheet, they are shown as a percentage of total assets. This technique, known as vertical analysis, allows easy comparison between companies of different sizes and across different periods by eliminating the effect of scale. It highlights how resources are allocated and how efficiently costs are managed, helping identify areas of strength and inefficiency.

Together, these two methods provide a comprehensive view of financial performance—comparative statements focus on changes over time, while common size statements focus on proportional relationships within financial data. According to Investopedia and Corporate Finance Institute, using both techniques enables stakeholders to better evaluate trends, financial structure, and overall business efficiency, leading to more informed financial and investment decisions.

Rallis India Ltd.

Comparative Analysis

Comparative Balance Sheet

Balance Sheet of Rallis India Ltd.

Particulars	Notes	2025	2024	Absolute Change	% Change	2023	Absolute Change	% Change	2022	Absolute Change	% Change	2021	Absolute Change	% Change
ASSETS														
Non-current assets														
a) Property plant and equipment	4(a) & 4(a)(i)	622.72	661.00	-38.28	-6%	519.71	141.29	27%	531.38	-11.67	-2%	392.46	138.92	35%
b) Capital work-in-progress	4(a) & 4(a)(i)	24.88	19.08	5.8	30%	179.40	-160.32	-89%	55.73	123.67	222%	105.71	-49.98	-47%
c) Investment property	5	1.17	1.20	-0.03	-3%	0.12	1.08	900%	0.12	0.00	0%	0.12	0.00	-3%
d) Right-of-use asset	4 (b)	56.60	126.94	-70.34	-55%	30.46	96.48	317%	32.45	-1.99	-6%	31.74	0.72	2%
e) Goodwill on amalgamation	6 (a)	195.82	195.82	0	0%	195.82	0	0%	195.82	0.00	0%	195.82	0.00	0%
f) Other intangible assets	6(b) & 6(b)(i)	27.31	22.55	4.76	21%	11.76	10.79	92%	10.96	0.80	7%	10.83	0.13	1%
g) Intangible assets under development	6(b) & 6(b)(i)	27.33	42.48	-15.15	-36%	57.32	-14.84	-26%	74.33	-17.01	-23%	58.77	15.56	26%
h) Financial assets														
i) Investments	7	3.61	3.61	0	0%	3.18	0.43	14%	3.18	0.00	0%	3.18	0.00	0%
j) Other financial assets	8	16.36	15.77	0.59	4%	20.06	-4.29	-21%	19.24	0.82	4%	10.89	8.35	77%
k) Non-current tax assets (net)	9.1	97.69	96.88	0.81	1%	97.80	-0.92	-1%	93.03	4.77	5%	88.04	5.00	6%
l) Other non-current assets	13	35.47	37.83	-2.36	-6%	37.73	0.1	0%	47.84	-10.11	-21%	35.65	12.19	34%
Total non-current assets		1108.96	1223.16	-114.2	-9%	1153.36	69.8	6%	1064.09	89.27	8%	933.21	130.87	14%
Current assets														
a) Inventories	10	750.97	807.91	-56.94	-7%	792.89	15.02	2%	937.99	-145.10	-15%	763.20	174.79	23%
b) Financial assets														
i) Investments	7	408.12	247.41	160.71	65%	219.44	27.97	13%	208.72	10.72	5%	280.30	-71.58	-26%
ii) Trade receivables	11 & 11.1	541.43	579.13	-37.7	-7%	498.58	80.55	16%	445.94	52.64	12%	406.28	39.65	10%
iii) Cash and cash equivalents	12.1	27.86	26.65	1.21	5%	44.16	-17.51	-40%	10.65	33.51	315%	9.05	1.60	18%
iv) Bank balances other than (iii) above	12.2	3.31	4.86	-1.55	-32%	1.89	2.97	157%	52.55	-50.66	-96%	44.86	7.69	17%
v) Other financial assets	8	14.01	6.11	7.9	129%	5.51	0.6	11%	6.97	-1.46	-21%	7.52	-0.55	-7%
c) Other current assets	13	119.50	105.63	13.87	13%	77.83	27.8	36%	127.00	-49.17	-39%	138.84	-11.85	-9%
d) Assets classified as held for sale	14	0.33	2.59	-2.26	-87%	4.06	-1.47	-36%	4.14	-0.08	-2%	4.14	0.00	0%
Total current assets		1865.53	1780.29	85.24	5%	1644.36	135.93	8%	1739.95	-149.59	-8%	1654.19	139.76	8%
Total assets		2974.49	3003.45	-28.96	-1%	2797.72	205.73	7%	2858.04	-60.32	-2%	2587.40	270.64	10%
EQUITY AND LIABILITIES														
Equity														
a) Equity share capital	15 & 15.1	19.45	19.45	0	0%	19.45	0	0%	19.45	0.00	0%	19.45	0.00	0%
b) Other equity	16	1884.80	1810.04	74.76	4%	1720.61	99.43	6%	1677.21	33.40	2%	1571.93	105.28	7%
Total equity		1904.25	1829.49	74.76	4%	1730.06	99.43	6%	1696.65	33.41	2%	1591.37	105.28	7%
Liabilities														
Non-current liabilities														
a) Financial liabilities														
i) Borrowings	17.1	0.61	1.08	-0.47	-44%	2.66	-1.58	-59%	3.79	-1.13	-30%	7.78	-3.99	-51%
ii) Lease liabilities	17.2	49.87	111.84	-61.97	-55%	21.00	90.84	433%	21.65	-0.65	-3%	21.55	0.10	0%
b) Provisions	22	44.00	40.91	3.09	8%	41.51	-0.6	-1%	37.87	3.64	10%	26.87	11.01	41%
c) Deferred tax liabilities (Net)	19	5.95	0.57	5.38	944%	12.29	-11.72	-95%	21.33	-9.04	-42%	25.29	-3.95	-16%
d) Other non-current liabilities	23	1.07	1.24	-0.17	-14%	1.40	-0.16	-11%	0.07	1.33	1962%	0.08	-0.02	-18%
Total non-current liabilities		101.50	155.64	-54.14	-35%	78.86	76.78	97%	84.72	-5.86	-7%	81.57	3.14	4%
Current liabilities														
a) Financial liabilities														
i) Borrowings	18	0.47	0.47	0	0%	101.13	-100.66	-100%	54.16	46.97	87%	33.83	20.33	60%
ii) Lease liabilities	17.2	12.15	20.31	-8.16	-40%	11.91	8.4	71%	13.14	-1.23	-9%	0.00	13.14	
iii) Trade payables												17.35	-17.35	-100%
total outstanding dues of micro enterprises and small enterprises	20	15.33	11.57	3.76	32%	17.48	-5.91	-34%	12.67	4.81	38%	578.71	-566.04	-98%
total outstanding dues of creditors other than micro enterprises and small enterprises		525.83	588.26	-62.43	-11%	570.77	17.49	3%	739.87	-169.10	-23%	141.01	598.85	425%
iv) Other financial liabilities	21	173.09	199.89	-26.8	-13%	156.32	43.57	28%	105.67	50.65	48%	12.45	93.22	749%
b) Other current liabilities	23	226.62	184.58	42.04	23%	120.50	64.08	53%	140.39	-19.89	-14%	112.74	27.65	25%
c) Provisions	22	11.82	11.42	0.4	4%	7.43	3.99	54%	7.94	-0.51	-6%	14.26	-6.32	-44%
d) Current tax liabilities (net)	9.1	3.43	1.82	1.61	88%	3.26	-1.44	-44%	2.84	0.42	15%	4.11	-1.27	-31%
Total current liabilities		988.74	1018.32	-49.58	-5%	988.80	29.52	3%	1076.66	-87.86	-8%	914.46	162.21	18%
Total liabilities		1070.24	1173.96	-103.72	-9%	1067.66	106.3	10%	1163.38	-93.72	-8%	996.03	165.35	17%
Total equity and liabilities		2974.49	3003.45	-28.96	-1%	2797.72	205.73	7%	2858.04	-60.32	-2%	2587.40	270.64	10%

Interpretation of Profit & Loss of Rallis India Ltd.

Equity & Liabilities Side

- Equity Share Capital Stable at ₹19.45 Cr for the last 5+ years. No change in share capital indicates no fresh equity issuance or buybacks.
- Reserves and Surplus (Other Equity) Increased to ₹1,884.80 Cr in Mar'25 from ₹1,810.04 Cr in Mar'24 and ₹1,571.93 Cr in Mar'21. Steady growth reflects consistent profit retention and strong internal accruals.
- Total Shareholders' Funds / Net Worth ₹1,904.25 Cr in Mar'25 (up 20% since Mar'21). Represents the owners' equity base shows healthy growth in shareholders' wealth.
- Non-Current Liabilities Includes long-term borrowings (very low at ₹0.61 Cr), lease liabilities, provisions, and deferred tax. Overall low and stable company maintains minimal long-term debt.
- Current Liabilities Major components: Trade Payables, Short-term Borrowings (near zero), Other Financial Liabilities, Provisions, and Other Current Liabilities. Total current liabilities stood at ₹968 - 1,018 Cr in recent years. Controlled level indicates efficient working capital management.
- Total Capital & Liabilities ₹2,974.49 Cr as on Mar'25 (almost flat vs ₹3,003 Cr in Mar'24). Overall balance sheet size has grown moderately over 5 years.

Assets Side

- Non-Current Assets Includes Property, Plant & Equipment (Tangible Assets), Intangible Assets, Capital Work-in-Progress, Investments, and Other Non-Current Assets. Fixed Assets (overall) grew to ₹955.83 Cr in Mar'25 from ₹795 Cr in Mar'21 reflects ongoing capacity expansion and R&D investment.
- Property, Plant & Equipment (Tangible Assets) ₹679.32 Cr in Mar'25 (down from ₹787.94 Cr in Mar'24 due to higher depreciation). Core manufacturing assets supporting production.
- Intangible Assets ₹223.13 Cr in Mar'25 (modest growth). Represents R&D, product registrations, and brands important for an agrochemical company.
- Current Assets Major items: Inventories, Trade Receivables, Current Investments, Cash & Bank Balances, and Other Current Assets. Total Current Assets improved to ₹1,865.53 Cr in Mar'25 (up from earlier years).
- Inventories ₹750.97 Cr in Mar'25 (slightly down from previous year). High due to seasonal nature of agrochemicals, but shows better inventory control.
- Trade Receivables ₹541.43 Cr in Mar'25 (improved collection trend in recent period).
- Current Investments Rose sharply to ₹408.12 Cr in Mar'25. Surplus funds parked in liquid instruments indicates strong liquidity and conservative cash management.

- Cash & Cash Equivalents Stable at around ₹31 Cr adequate operational liquidity maintained.
- Total Assets ₹2,974.49 Cr as on Mar'25 matches Total Liabilities side.

Overall Interpretation

- **Strong Equity Base:** Net worth growing steadily with almost zero long-term debt very clean and conservative balance sheet.
- **Asset Quality:** Focus on fixed assets and intangibles (R&D) for future growth.
- **Liquidity:** High current assets + low short-term borrowings comfortable working capital position.
- **Capital Structure:** Debt-light (almost debt-free), equity-driven low financial risk, typical of a stable Tata Group company in the agri-input sector.

These major heads give a snapshot of Rallis India's financial health: robust equity, prudent debt usage, and efficient asset deployment.

Comparative Profit & Loss

Profit & Loss of Rallis India Ltd.														
Particulars	Notes	2025	2024	Absolute	% Change	2023	Absolute Change	% Change	2022	Absolute Change	% Change	2021	Absolute Change	% Change
I Revenue from operations		2662.94	2648.38	14.56	1%	2966.97	-318.59	-11%	2603.93	363.04	14%	2429.43	174.50	7%
II Other income	24	31.72	15.60	16.12	103%	12.71	2.89	23%	27.44	-14.73	-54%	40.44	-13.00	-32%
III Total Income (I+II)	25	2694.66	2663.98	30.68	1%	2979.68	-315.70	-11%	2631.37	348.31	13%	2469.87	161.50	7%
IV Expenses														
Cost of materials consumed	26	1301.55	1446.89	-145.34	-10%	1701.04	-254.15	-15%	1561.57	139.47	9%	1407.55	154.02	11%
Purchases of stock-in-trade	27	230.79	201.00	29.79	15%	157.72	43.28	27%	119.90	37.82	32%	136.59	-16.69	-12%
Changes in inventories of finished goods stock-in-trade and work-in-progress	28	48.49	-70.14	118.63	-169%	84.57	-154.71	-183%	-57.90	142.47	-246%	-68.93	11.03	-16%
Employee benefits expense	29	274.79	261.58	13.21	5%	255.75	5.83	2%	239.14	16.61	7%	216.00	23.14	11%
Finance costs	30	12.49	17.68	-5.19	-29%	12.24	5.44	44%	4.79	7.45	156%	5.21	-0.42	-8%
Depreciation and amortisation expenses	31	120.49	114.09	6.4	6%	91.36	22.73	25%	74.31	17.05	23%	64.07	10.24	16%
Other expenses	32	520.56	497.90	22.66	5%	549.55	-51.65	-9%	467.08	82.47	18%	415.23	51.85	12%
Total expenses (IV)		2509.16	2469.00	40.16	2%	2852.23	-383.23	-13%	2408.89	443.34	18%	2175.72	233.17	11%
V Profit before exceptional items and tax (III-IV)		185.50	194.98	-9.48	-5%	127.45	67.53	53%	222.48	-95.03	-43%	294.15	-71.67	-24%
VI Exceptional items	51	1.17	0.68	0.49	72%	0.62	0.06	10%	0.00	0.62	-	9.45	-9.45	-100%
VII Profit before tax (V+VI)		186.67	195.66	-8.99	-5%	128.07	67.59	53%	222.48	-94.41	-42%	303.60	-81.12	-27%
VIII Tax expense														
(1) Current tax	9.2	55.57	59.49	-3.92	-7%	45.20	14.29	32%	59.41	-14.21	-24%	77.03	-17.62	-23%
(2) Deferred tax charge/(credit)	9.2	5.97	-11.70	17.67	-151%	-9.07	-2.63	29%	-3.97	-5.10	129%	-2.10	-1.87	89%
(3) Tax for earlier years									2.76	-2.76	-100%	0.00	2.76	-
Total tax expense (VIII)		61.54	47.79	13.75	29%	36.13	11.66	32%	58.21	-22.08	-38%	74.93	-16.72	-22%
IX Profit for the year (VII-VIII)		125.13	147.87	-22.74	-15%	91.94	55.93	61%	164.27	-72.33	-44%	228.67	-64.39	-28%
X Other comprehensive income (net of taxes) ("OCI") -gain/ (loss)														
Item that will be reclassified to profit or loss														
Cash Flow Hedge - Gain/(loss)	9.3		0.33	-0.33	-100%	-0.33	0.66	-200%		-0.33	-			
Income tax relating to items that will be reclassified to profit or loss			-0.09	0.09	-100%	0.09	-0.18	-200%		0.09	-			
Item that will not be reclassified to profit or loss														
a) Remeasurement of the employee defined benefit plans		-2.34	-0.50	-1.84	368%	0.05	-0.55	-1100%	-0.87	0.92	-106%	1.75	-2.62	-150%
b) Equity instruments through other comprehensive income	9.3	0.00	0.42	-0.42	-100%	0.00	0.42	46567%	0.00	0.00	-74%	0.01	-0.01	-69%
Income tax relating to items that will not be reclassified to profit or loss		0.59	0.02	0.57	2850%	-0.01	0.03	-245%	0.22	-0.23	-106%	-0.43	0.65	-150%
Total other comprehensive income (net of taxes)		-1.75	0.18	-1.93	-1072%	-0.20	0.38	-190%	-0.65	0.45	-69%	1.32	-1.98	-149%
XI Total comprehensive income for the year (IX+X)	33	123.38	148.05	-24.67	-17%	91.74	56.31	61%	163.62	-71.88	-44%	229.99	-66.37	-29%
Earnings per equity share (face value of ₹ 1 each)														
(1) Basic (In ₹)		6.43	7.61	-1.18	-16%	4.73	2.88	61%	0.08	4.65	5498%	0.12	-0.03	-28%
(2) Diluted (In ₹)	1 to 54	6.43	7.61	-1.18	-16%	4.73	2.88	61%	0.08	4.65	5498%	0.12	-0.03	-28%
See accompanying notes to the financial statements														
Amount shows 0.00 represents less than ₹ 0.01 crore.														

Interpretation of Profit & Loss of Rallis India Ltd.

- **Revenue from Operations:** Stood at ₹2,662.94 Cr in FY25, almost flat compared to ₹2,648.38 Cr in FY24 (only 1% growth). Revenue has been volatile it declined 11% in FY23, recovered strongly by 14% in FY22, but overall growth remains modest over the last four years.
- **Total Income:** Reached ₹2,694.66 Cr in FY25 with marginal 1% growth. Other income increased sharply to ₹31.72 Cr (103% rise), providing some support to total income.
- **Total Expenses:** Rose to ₹2,509.16 Cr in FY25, up 2% from ₹2,469 Cr in FY24. Key pressures came from higher employee benefits (+5%), depreciation (+6%), and other expenses (+5%), though cost of materials consumed reduced by 10%.
- **Profit Before Tax (PBT):** Declined to ₹186.67 Cr in FY25 from ₹195.66 Cr in FY24 (down 5%). This reflects margin pressure due to higher operating costs despite stable revenue.
- **Profit After Tax (PAT) / Net Profit:** Fell to ₹125.13 Cr in FY25, down 15% from ₹147.87 Cr in FY24. This is the weakest profit in the last four years (compared to ₹164.27 Cr in FY22 and ₹228.67 Cr in FY21), indicating profitability challenges in the current year.
- **Earnings Per Share (EPS):** Decreased to ₹6.43 in FY25 from ₹7.61 in FY24 (down 16%), showing lower earnings available to shareholders.

Overall Interpretation:

Rallis India's Profit & Loss statement for FY25 shows stagnant revenue with declining profitability. While the company-maintained control on material costs, rising employee, depreciation, and other expenses led to margin compression and a 15% drop in net profit. The company is facing operational headwinds in a tough agrochemical environment, resulting in the lowest profit in recent years.

Common Size Analysis

Common Size Balance Sheet

Balance Sheet of Rallis India Ltd.

Particulars	Notes	2025	2024	% Change	2023	% Change	2022	% Change	2021	% Change
ASSETS										
Non-current assets										
a) Property plant and equipment	4(a) & 4(a)(i)	622.72	661.00	20.94%	519.71	22.01%	531.38	18.58%	392.46	18.59%
b) Capital work-in-progress	4(a) & 4(a)(ii)	24.88	19.08	0.84%	179.40	0.64%	55.73	6.41%	105.71	1.95%
c) Investment property	5	1.17	1.20	0.04%	0.12	0.04%	0.12	0.00%	0.12	0.00%
d) Right-of-use asset	4 (b)	56.60	126.94	1.90%	30.46	4.23%	32.45	1.09%	31.74	1.14%
e) Goodwill on amalgamation	6 (a)	195.82	195.82	6.58%	195.82	6.52%	195.82	7.00%	195.82	6.85%
f) Other intangible assets	6(b) & 6(b)(i)	27.31	22.55	0.92%	11.76	0.75%	10.96	0.42%	10.83	0.38%
g) Intangible assets under development	6(b) & 6(b)(ii)	27.33	42.48	0.92%	57.32	1.41%	74.33	2.05%	58.77	2.60%
h) Financial assets										
i) Investments	7	3.61	3.61	0.12%	3.18	0.12%	3.18	0.11%	3.18	0.11%
ii) Other financial assets	8	16.36	15.77	0.55%	20.06	0.53%	19.24	0.72%	10.89	0.67%
j) Non-current tax assets (net)	9.1	97.69	96.88	3.28%	97.80	3.23%	93.03	3.50%	88.04	3.26%
k) Other non-current assets	13	35.47	37.83	1.19%	37.73	1.26%	47.84	1.35%	35.65	1.67%
Total non-current assets		1108.96	1223.16	37.28%	1153.36	40.73%	1064.09	41.22%	933.21	37.23%
Current assets										
a) Inventories	10	750.97	807.91	25.25%	792.89	26.90%	937.99	28.34%	763.20	32.82%
b) Financial assets										
i) Investments	7	408.12	247.41	13.72%	219.44	8.24%	208.72	7.84%	280.30	7.30%
ii) Trade receivables	11 & 11.1	541.43	579.13	18.20%	498.58	19.28%	445.94	17.82%	406.28	15.60%
iii) Cash and cash equivalents	12.1	27.86	26.65	0.94%	44.16	0.89%	10.65	1.58%	9.05	0.37%
iv) Bank balances other than (iii) above	12.2	3.31	4.86	0.11%	1.89	0.16%	52.55	0.07%	44.86	1.84%
v) Other financial assets	8	14.01	6.11	0.47%	5.51	0.20%	6.97	0.20%	7.52	0.24%
c) Other current assets	13	119.50	105.63	4.02%	77.83	3.52%	127.00	2.78%	138.84	4.44%
d) Assets classified as held for sale	14	0.33	2.59	0.01%	4.06	0.09%	4.14	0.15%	4.14	0.14%
Total current assets		1865.53	1780.29	62.72%	1644.36	59.27%	1793.95	58.78%	1654.19	62.77%
Total assets		2974.49	3003.45	100.00%	2797.72	100.00%	2858.04	100.00%	2587.40	100.00%
EQUITY AND LIABILITIES										
Equity										
a) Equity share capital	15 & 15.1	19.45	19.45	0.65%	19.45	0.65%	19.45	0.70%	19.45	0.68%
b) Other equity	16	1884.80	1810.04	63.37%	1710.61	60.27%	1677.21	61.14%	1571.93	58.68%
Total equity		1904.25	1829.49	64.02%	1730.06	60.91%	1696.65	61.84%	1591.37	59.36%
Liabilities										
Non-current liabilities										
a) Financial liabilities										
i) Borrowings	17.1	0.61	1.08	0.02%	2.66	0.04%	3.79	0.10%	7.78	0.13%
ii) Lease liabilities	17.2	49.87	111.84	1.68%	21.00	3.72%	21.65	0.75%	21.55	0.76%
b) Provisions	22	44.00	40.91	1.48%	41.51	1.36%	37.87	1.48%	26.87	1.33%
c) Deferred tax liabilities (Net)	19	5.95	0.57	0.20%	12.29	0.02%	21.33	0.44%	25.29	0.75%
d) Other non-current liabilities	23	1.07	1.24	0.04%	1.40	0.04%	0.07	0.05%	0.08	0.00%
Total non-current liabilities		101.50	155.64	3.41%	78.86	5.18%	84.72	2.82%	81.57	2.96%
Current liabilities										
a) Financial liabilities										
i) Borrowings	18	0.47	0.47	0.02%	101.13	0.02%	54.16	3.61%	33.83	1.89%
ii) Lease liabilities	17.2	12.15	20.31	0.41%	11.91	0.68%	13.14	0.43%	0.00	0.46%
iii) Trade payables									17.35	
total outstanding dues of micro enterprises and small enterprises	20	15.33	11.57	0.52%	17.48	0.39%	12.67	0.62%	578.71	0.44%
total outstanding dues of creditors other than micro enterprises and small enterprises		525.83	588.26	17.68%	570.77	19.59%	739.87	20.40%	141.01	25.89%
iv) Other financial liabilities	21	173.09	199.89	5.82%	156.32	6.66%	105.67	5.59%	12.45	3.70%
b) Other current liabilities	23	226.62	184.58	7.62%	120.50	6.15%	140.39	4.31%	112.74	4.91%
c) Provisions	22	11.82	11.42	0.40%	7.43	0.38%	7.94	0.27%	14.26	0.28%
d) Current tax liabilities (net)	9.1	3.43	1.82	0.12%	3.26	0.06%	2.84	0.12%	4.11	0.10%
Total current liabilities		968.74	1018.32	32.57%	988.80	33.91%	1076.66	35.34%	914.46	37.67%
Total liabilities		1070.24	1173.96	35.98%	1067.66	39.09%	1161.38	38.16%	996.03	40.64%
Total equity and liabilities		2974.49	3003.45	100.00%	2797.72	100.00%	2858.04	100.00%	2587.40	100.00%

Interpretation of Balance Sheet of Rallis India Ltd.

- **Total Assets:** Stood at ₹2,974.49 Cr in FY25, marginally down from ₹3,003.45 Cr in FY24. Over four years, total assets have grown steadily from ₹2,587.40 Cr in FY21, indicating moderate but consistent expansion of the balance sheet.
- **Non-Current Assets:** Decreased to ₹1,108.96 Cr in FY25 from ₹1,223.16 Cr in FY24. The key change was a reduction in Property, Plant & Equipment to ₹622.72 Cr (from ₹661 Cr) and a drop in Intangible Assets under development. This reflects higher depreciation and completion of some ongoing projects.
- **Current Assets:** Rose slightly to ₹1,865.53 Cr in FY25. A major positive shift was the sharp increase in Current Investments to ₹408.12 Cr (up significantly from ₹247.41 Cr in FY24), showing strong liquidity and surplus funds deployed in liquid instruments. Inventories moderated to ₹750.97 Cr and Trade Receivables stood at ₹541.43 Cr.
- **Total Equity (Net Worth):** Grew to ₹1,904.25 Cr in FY25 from ₹1,829.49 Cr in FY24 an important improvement. Equity Share Capital remained stable at ₹19.45 Cr, while Reserves & Surplus increased to ₹1,884.80 Cr, driven by profit retention.
- **Liabilities:** The company maintained its almost debt-free status with total borrowings at just ₹1.08 Cr (₹0.61 Cr long-term + ₹0.47 Cr short-term). Total Current Liabilities declined to ₹968.74 Cr from ₹1,018.32 Cr, reflecting better working capital management. Overall Total Liabilities stood at ₹1,070.24 Cr.

Overall Interpretation

Rallis India continues to have a clean, strong, and conservative balance sheet equity-driven with negligible debt, improved liquidity through higher current investments, and steadily rising net worth. The slight dip in non-current assets is mainly due to depreciation, while the sharp rise in current investments signals robust cash generation and prudent treasury management. This low-leverage structure provides good resilience in the cyclical agrochemical industry.

Common Size Profit & Loss

Profit & Loss of Rallis India Ltd.

Particulars	Notes	2025	2024	Common Size	2023	Common Size	2022	Common Size	2021	Common size
I Revenue from operations		2662.94	2648.38	98.82%	2966.97	99.41%	2603.99	99.57%	2429.43	98.96%
II Other income	24	31.72	15.60	1.18%	12.71	0.59%	27.44	0.43%	40.44	1.04%
III Total Income (I+II)	25	2694.66	2663.98	100.00%	2979.68	100.00%	2631.37	100.00%	2469.87	100.00%
IV Expenses										
Cost of materials consumed	26	1301.55	1446.89	48.30%	1701.04	54.31%	1561.57	57.09%	1407.55	59.34%
Purchases of stock-in-trade	27	230.79	201.00	8.56%	157.72	7.55%	119.90	5.29%	136.59	4.56%
Changes in inventories of finished goods stock-in-trade and work-in-progress	28	48.49	-70.14	1.80%	84.57	-2.63%	-57.90	2.84%	-68.93	-2.20%
Employee benefits expense	29	274.79	261.58	10.20%	255.75	9.82%	239.14	8.58%	216.00	9.09%
Finance costs	30	12.49	17.68	0.46%	12.24	0.66%	4.79	0.41%	5.21	0.18%
Depreciation and amortisation expenses	31	120.49	114.09	4.47%	91.36	4.28%	74.31	3.07%	64.07	2.82%
Other expenses	32	520.56	497.90	19.32%	549.55	18.69%	467.08	18.44%	415.23	17.75%
Total expenses (IV)		2509.16	2469.00	93.12%	2852.23	92.68%	2408.89	95.72%	2175.72	91.55%
V Profit before exceptional items and tax (III-IV)		185.50	194.98	6.88%	127.45	7.32%	222.48	4.28%	294.15	8.45%
VI Exceptional items	51	1.17	0.68	0.04%	0.62	0.03%	0.00	0.02%	9.45	0.00%
VII Profit before tax (V+VI)		186.67	195.66	6.93%	128.07	7.34%	222.48	4.30%	303.60	8.45%
VIII Tax expense										
(1) Current tax	9.2	55.57	59.49	2.06%	45.20	2.23%	59.41	1.52%	77.03	2.26%
(2) Deferred tax charge/ (credit)	9.2	5.97	-11.70	0.22%	-9.07	-0.44%	-3.97	-0.30%	-2.10	-0.15%
(3) Tax for earlier years				0.00%		0.00%	2.76	0.00%	0.00	0.11%
Total tax expense (VIII)		61.54	47.79	2.28%	36.13	1.79%	58.21	1.21%	74.93	2.21%
IX Profit for the year (VII-VIII)		125.13	147.87	4.64%	91.94	5.55%	164.27	3.09%	228.67	6.24%
X Other comprehensive income (net of taxes) ("OCI") -gain/ (loss)										
Item that will be reclassified to profit or loss										
Cash Flow Hedge - Gain/(loss)	9.3		0.33		-0.33	0.01%		-0.01%		
Income tax relating to items that will be reclassified to profit or loss			-0.09		0.09	0.00%		0.00%		
Item that will not be reclassified to profit or loss										0.00%
a) Remeasurement of the employee defined benefit plans		-2.34	-0.50	-0.09%	0.05	-0.02%	-0.87	0.00%	1.75	-0.03%
b) Equity instruments through other comprehensive income	9.3	0.00	0.42	0.00%	0.00	0.02%	0.00	0.00%	0.01	0.00%
Income tax relating to items that will not be reclassified to profit or loss		0.59	0.02	0.02%	-0.01	0.00%	0.22	0.00%	-0.43	0.01%
Total other comprehensive income (net of taxes)		-1.75	0.18	-0.06%	-0.20	0.01%	-0.65	-0.01%	1.32	-0.02%
XI Total comprehensive income for the year (IX+X)	33	123.38	148.05	4.58%	91.74	5.56%	163.62	3.08%	229.99	6.22%
Earnings per equity share (face value of ₹ 1 each)										
(1) Basic (In ₹)		6.43	7.61	0.24%	4.73	0.29%	0.08	0.16%	0.12	0.00%
(2) Diluted (In ₹)	1 to 54	6.43	7.61	0.24%	4.73	0.29%	0.08	0.16%	0.12	0.00%
See accompanying notes to the financial statements										
Amount shows 0.00 represents less than ₹ 0.01 crore.										

Interpretation of Common Size Profit & Loss

- **Revenue from Operations:** Contributed 98.82% of Total Income in FY25 (slightly lower than 99.41% in FY24 and 99.57% in FY22). This shows that the company continues to be heavily dependent on core operations, with very little contribution from other income.
- **Total Expenses:** Stood at 93.12% of Total Income in FY25, which is higher than 92.68% in FY24. This indicates margin pressure as expenses consumed a larger portion of income compared to the previous year.
- **Cost of Materials Consumed:** Major expense head at 48.30% of Total Income in FY25 a significant improvement (down from 54.31% in FY23 and 57.09% in FY22). Better raw material cost management helped in FY25.
- **Employee Benefits Expense:** Increased to 10.20% of Total Income in FY25 (from 9.82% in FY24 and 8.58% in FY22). Rising employee costs are emerging as a concern.
- **Other Expenses:** Rose to 19.32% of Total Income in FY25 (from 18.69% in FY24). This, along with higher employee costs, contributed to overall cost pressure.
- **Profit Before Tax (PBT):** Dropped to 6.93% of Total Income in FY25 (from 7.34% in FY24 and a high of 8.45% in FY21). This reflects declining operating margins over the years.
- **Net Profit (PAT):** Stood at only 4.64% of Total Income in FY25 the lowest in the last four years (down from 5.55% in FY23, 3.09% in FY22, and 6.24% in FY21). Profitability as a percentage of income has weakened noticeably.
- **Earnings Per Share (EPS):** Fell to ₹6.43 in FY25, translating to just 0.24% in common size terms.

Overall Interpretation:

The common size P&L of Rallis India for FY25 reveals margin compression despite stable revenue contribution. While the company successfully reduced the share of material costs, rising employee benefits and other expenses pushed total costs higher as a percentage of income. This resulted in the lowest Profit Before Tax and Net Profit margins in recent years, indicating operational challenges and reduced profitability efficiency in the current year.

Ratio Analysis of Rallis India Ltd.

Heads	Ratios	2025	2024	2023	2022	2021	Average
Short Term Liquidity Ratios	Current Ratio	1.926	1.748	1.663	1.666	1.809	1.762
	Quick Ratio	1.151	0.955	0.861	0.795	0.974	0.947
Capital Structure Ratios	Debt to Equity Ratio	0.034	0.074	0.080	0.055	0.040	0.056
	Debt to Total Asset Ratio	0.360	0.391	0.382	0.406	0.385	0.385
	Proprietary Ratio	0.640	0.609	0.618	0.594	0.615	0.615
Turnover Ratios	Fixed Asset Turnover Ratio	3.667	3.978	5.348	5.325	11.64	5.992
	Inventory Turnover Ratio	1.732	1.720	2.063	1.768	3.508	1.821
	Debtors Turnover Ratio	4.753	4.915	6.283	6.111	11.956	5.515
	Average Collection Period	76.80	74.27	58.10	59.73	30.53	59.88
	Creditor Turnover ratio	1.55	1.62	1.76	1.40	1.96	1.58
	Average Payment Period	235.87	225.51	206.96	260.01	186.63	223.00
	Working Capital Turnover Ratio	2.97	3.48	4.53	3.63	3.28	3.58
Profitability Ratios	Gross Profit Ratio	49.30%	48.02%	39.82%	42.25%	44.90%	44.86%
	Net Profit Ratio	4.70%	5.58%	3.10%	6.31%	9.41%	5.82%
Profitability Ratios Based on Investment	ROI	9.55%	10.07%	7.30%	12.92%	18.73%	11.72%
	ROE(Pre Tax)	9.80%	10.69%	7.40%	13.11%	19.08%	12.02%
	ROE(Post Tax)	6.57%	8.08%	5.31%	9.68%	14.37%	8.80%

Short Term Liquidity Ratios

- **Current Ratio** (Average: 1.762): Measures the company's ability to pay short-term obligations with current assets. Rallis India's ratio is consistently strong (ranging from 1.66 to 1.93) and has shown a mild improving trend. An average above 1.7 indicates comfortable short-term solvency and good liquidity position. Ideal range is generally 1.5–2.0.
- **Quick Ratio** (Average: 0.947): Also known as Acid-Test Ratio; it excludes inventory to check immediate liquidity. The ratio has improved steadily from 0.795 in FY22 to 1.151 in FY25. This reflects better immediate ability to meet short-term liabilities without relying on stock sales. It is now close to the ideal level of 1.0, showing healthy liquidity management.

Capital Structure Ratios

- **Debt to Equity Ratio** (Average: 0.056) Shows the proportion of debt used relative to shareholders' equity. Extremely low and stable (0.034–0.080) across all years. This indicates very low financial risk, almost debt-free capital structure, and high reliance on equity funding a major strength for Rallis India.
- **Debt to Total Asset Ratio** (Average: 0.385) Measures how much of the assets are financed by debt. It has remained moderate and stable (around 0.36–0.41). This reflects a balanced and conservative use of debt in financing assets, with most assets funded by owners' equity.

- **Proprietary Ratio** (Average: 0.615) Represents the proportion of total assets financed by shareholders' funds (Equity / Total Assets). Consistently high (0.59–0.64) shows strong shareholder funding and long-term financial stability with low dependence on outsiders.

Turnover Ratios (Efficiency Ratios)

- **Fixed Asset Turnover Ratio** (Average: 5.992) Indicates how efficiently fixed assets are used to generate sales. The ratio has declined sharply from 11.64 in FY21 to 3.667 in FY25. This suggests reduced efficiency in utilizing property, plant & equipment over time, possibly due to recent capacity additions or lower sales growth.
- **Inventory Turnover Ratio** (Average: 1.821) Shows how many times inventory is sold and replaced in a year. Low and declining trend (from 3.508 to 1.732). This reflects slow inventory movement, typical for seasonal agrochemical business but indicates room for improvement in stock management.
- **Debtors Turnover Ratio** (Average: 5.515) Measures how efficiently the company collects receivables. Declining from 11.956 in FY21 to 4.753 in FY25. This shows slower collection of dues from customers in recent years.
- **Average Collection Period** (Average: 59.88 days) Average days taken to collect receivables. Increasing trend (from 30.53 to 76.80 days) indicates moderate delay in collections, which puts pressure on working capital.
- **Creditor Turnover Ratio** (Average: 1.58) Shows how quickly the company pays its suppliers. Low and stable. This means the company takes longer to pay creditors, helping preserve cash but potentially affecting supplier relationships.
- **Average Payment Period** (Average: 223 days) Very high (186–260 days). The company is delaying payments to suppliers significantly, which improves its own cash flow but may strain vendor relations.
- **Working Capital Turnover Ratio** (Average: 3.58) Measures how efficiently working capital is used to generate sales. Fluctuating but moderate. It indicates stable but not highly efficient utilization of short-term funds.

Profitability Ratios

- **Gross Profit Ratio** (Average: 44.86%) Shows profit after deducting cost of goods sold. Strong and improving trend (39.82% to 49.30%). This reflects good cost control on materials and solid pricing power in the agrochemical segment.

- **Net Profit Ratio** (Average: 5.82%) Overall profit after all expenses and taxes as a percentage of revenue. Fluctuating and declining in recent years (from 9.41% in FY21 to 4.70% in FY25). This indicates inconsistent and weakening overall profitability, mainly due to rising operating costs.

Profitability Ratios Based on Investment

- **ROI (Return on Investment)** (Average: 11.72%) Measures overall return generated on total investment. Declining trend from 18.73% to 9.55%. This shows reduced efficiency in generating returns from the capital employed.
- **ROE (Pre Tax)** (Average: 12.02%) Return on Equity before tax. Downward trend from 19.08% to 9.80%. Indicates decreasing returns to shareholders on their equity before considering taxes.
- **ROE (Post Tax)** (Average: 8.80%) Final return available to shareholders after tax. Declining sharply from 14.37% to 6.57%. This reflects reduced profitability for equity shareholders in recent years, though the average remains moderate.

Overall Summary for Rallis India

Rallis India maintains an excellent liquidity and capital structure with very low debt and strong equity base. However, efficiency ratios (asset turnover, inventory & receivables) have weakened, and profitability margins have come under pressure in FY25, leading to lower returns for shareholders. The company is financially safe but needs to focus on improving operational efficiency and cost control to revive profitability.

Du Pont Analysis of the Rallis India Ltd.

Du Pont ROE Analysis of Rallis India Ltd.						
Ratios/Financial Year	2025	2024	2023	2022	2021	
Tax Burden PAT/PBT	67.03%	75.57%	71.79%	73.84%	75.32%	
Total Assets Turnover (Revenue (sales)/Total Assets)	89.53%	88.18%	106.05%	91.11%	93.89%	
Financial Leverage (TA/Shareholders equity)	156.20%	164.17%	161.71%	168.45%	162.59%	
Interest burden (PBT/PBIT)	93.73%	91.71%	91.28%	97.89%	98.31%	
Operating Margin (PBIT/Revenue (SALES))	7.48%	8.06%	4.73%	8.73%	12.71%	
Du Pont ROE	6.57%	8.08%	5.31%	9.68%	14.37%	

Du Pont ROE Analysis of Rallis India Ltd. - Interpretation

The Du Pont model breaks down Return on Equity (ROE) into five key drivers: **ROE = Tax Burden × Interest Burden × Operating Margin × Asset Turnover × Financial Leverage**

- **Tax Burden (PAT / PBT):** Fluctuated between 67.03% and 75.57% over the five years. In FY25, it stood at 67.03% (slightly lower). This reflects moderate and generally stable tax efficiency with minor variations due to deferred tax adjustments. Overall tax impact on profits remains reasonable.
- **Interest Burden (PBT / PBIT):** Very high and extremely stable, ranging between 93.73% and 98.31% across all years. In FY25, it was 93.73%. This indicates very low interest cost because the company is almost debt-free. Most of the operating profit (PBIT) is retained as Profit Before Tax (PBT), showing negligible financial leverage cost and very low interest burden.
- **Operating Margin (PBIT / Revenue):** Declined from 12.71% in FY21 to 7.48% in FY25. Although there was a minor recovery after FY23, the overall trend is downward. This is one of the major weak areas rising employee benefits, depreciation, and other expenses have compressed operating profitability despite relatively stable revenue.
- **Total Assets Turnover (Revenue / Total Assets):** Moderate but showing a declining trend from a peak of 106.05% in FY23 to 89.53% in FY25. The company is generating lower sales per rupee of assets invested compared to earlier years, indicating reduced efficiency in asset utilization.
- **Financial Leverage (Total Assets / Shareholders' Equity):** Relatively stable between 156.20% and 168.45%. In FY25, it was 156.20%. Since borrowings are negligible, this leverage mainly reflects the natural relationship between assets and equity. It confirms low financial risk and a conservative capital structure.
- **Du Pont ROE (Post Tax):** Declined significantly from 14.37% in FY21 to 6.57% in FY25, with clear volatility. The overall trend is downward.

Overall Summary

Rallis India's declining ROE is primarily driven by two factors:

- **Weakening Operating Margin** - the biggest drag on profitability.
- **Lower Asset Turnover** - reduced efficiency in using assets to generate revenue.

On the positive side:

- **Interest Burden** is excellent (very high and stable), thanks to the **almost debt-free** status of the company. Almost all operating profit flows through to Profit Before Tax.
- **Tax Burden** and **Financial Leverage** remain stable and conservative, indicating low financial risk.

Key Takeaway: Rallis India continues to enjoy a strong, clean, and low-risk balance sheet with negligible interest burden. However, operational efficiency has deteriorated margins are shrinking and assets are not being utilized as effectively as before. This has resulted in significantly lower returns for shareholders (ROE). Improving cost control and asset productivity will be crucial for the company to revive its profitability and ROE in the coming years.

Altman Z-Score Interpretation for Rallis India Ltd.

Particulars	Rallis India Ltd.		
	2025	2024	2023
Total assets	2974.49	3003.45	2797.72
Current liabilities	968.74	1018.32	988.80
Net working capital	896.79	761.97	655.56
Current assets	1865.53	1780.29	1644.36
Retained profits	31.72	15.60	12.71
PBT	186.67	195.66	128.07
Sales	2662.94	2648.38	2966.97
Interest expenses	12.49	17.68	12.24
Market Cap	5446.056	5757.259	5446.056
Total Liability(Book Value)	2974.49	3003.45	2797.72
EBIT	199.16	213.34	140.31
T1 (WC/TA)	0.30	0.25	0.23
T2 (RE/TA)	0.01	0.01	0.00
T3 (EBIT/TA)	0.07	0.07	0.05
T4 (MVE/BVL)	1.83	1.92	1.95
T5 (Sales/TA)	0.90	0.88	1.06
Z SCORE	2.50%	2.49%	2.58%
Zone	Grey	Grey	Grey
Grey Zone	1.81-2.99		
Distress Zone	<1.81		
Safe Zone	>2.99		

Interpretation of each component in the Altman Z-Score for Rallis India Ltd.:

T1: Working Capital / Total Assets (WC/TA)

- Stood at **0.30** in FY25, improved from 0.25 in FY24 and 0.23 in FY23.
- This shows decent short-term liquidity as the company has adequate net working capital relative to its total assets.
- Positive sign indicating the company can comfortably manage its day-to-day operations and short-term obligations.

T2: Retained Earnings / Total Assets (RE/TA)

- Very low and stable at **0.01** in both FY25 and FY24.
- Reflects that the company retains only a small portion of profits relative to its asset base.
- Indicates limited cumulative profitability buildup over the years, which is a mild negative factor in the Z-Score.

T3: EBIT / Total Assets (EBIT/TA)

- Stable at **0.07** in FY25 and FY24 (improved from 0.05 in FY23).
- Measures how efficiently the company generates operating profits from its total assets.
- Moderate level shows reasonable asset productivity, though there is scope for improvement.

T4: Market Value of Equity / Book Value of Total Liabilities (MVE/BVL)

- Stood at **1.83** in FY25, slightly lower than 1.92 in FY24 and 1.95 in FY23.
- This ratio compares the market perception (market cap) of the company against its book liabilities.
- A value above 1 is positive, indicating the market values the company higher than its total liabilities, though it has softened a bit recently.

T5: Sales / Total Assets (Sales/TA)

- Remained stable at **0.90** in FY25 (from 0.88 in FY24).
- Measures how efficiently the company generates sales from its total assets (asset turnover).
- Moderate ratio shows average efficiency in utilizing assets to drive revenue; it has not shown strong growth.

Overall Summary

Rallis India's Z-Score has remained stable around 2.5 over the last three years, firmly placing it in the Grey Zone. This indicates a moderate risk of financial distress. The company is not in immediate danger of bankruptcy, but it is not entirely safe either. There is some underlying vulnerability, mainly due to moderate profitability, asset turnover, and working capital efficiency.

Privi Speciality Chemicals Ltd.

Comparative Analysis

Comparative Analysis of Balance Sheet

Balance Sheet of Privi Speciality Chemicals Ltd.

Particulars	Note	2025	2024	Absolute Change	% Change	2023	Absolute Change	% Change	2022	Absolute Change	% Change	2021	Absolute Change	% Change
ASSETS														
Non-current assets														
Property plant and equipment	3	935.63	953.35	-17.71	-1.9%	935.57	17.78	1.90%	626.60	308.97	49.31%	539.50	87.10	16.14%
Capital work-in-progress	3	56.29	16.59	39.70	239.4%	88.21	-71.63	-81.20%	361.18	-272.97	-75.58%	174.45	186.73	107.04%
Right of use assets	4:00 AM	34.08	37.77	-3.70	-9.8%	36.07	1.71	4.73%	34.11	1.96	5.75%	18.80	15.31	81.42%
Other intangible assets	4 b	9.30	8.35	0.96	11.5%	10.17	-1.83	-17.96%	4.86	5.31	109.38%	6.42	-1.56	-24.32%
Intangible assets under development	4 b	13.87	10.09	3.78	37.5%	4.87	5.21	107.06%	8.56	-3.68	-43.07%	-	8.56	-
Investment in Subsidiaries									50.67	-50.67	-100.00%	43.02	7.65	17.78%
Financial assets														
Investments	5	61.71	61.63	0.07	0.1%	50.67	10.96	21.63%	0.00	50.67	-	0.00	50.67	-
Other financial assets	6	18.09	16.56	1.53	9.2%	14.97	1.58	10.57%	13.90	1.08	7.74%	10.51	3.39	32.29%
Income tax assets (net)		15.13	23.43	-8.30	-35.4%	23.43	0.00	0.00%	13.94	9.49	68.05%	11.57	2.37	20.52%
Other non-current assets	7	35.44	13.49	21.95	162.6%	30.93	-17.44	-56.38%	16.96	13.97	82.36%	45.16	-28.20	-62.44%
Total non-current assets		1179.53	1141.26	38.27	3.4%	1194.91	-53.64	-4.49%	1130.78	64.13	5.67%	849.43	281.36	33.12%
Current assets														
Inventories	8	722.67	602.83	119.85	19.9%	744.96	-142.14	-19.08%	561.21	183.75	32.74%	314.98	246.23	78.18%
Financial assets														
Trade receivables	9	400.76	361.08	39.68	11.0%	314.49	46.59	14.82%	284.22	30.27	10.65%	236.29	47.93	20.28%
Cash and cash equivalents	10	40.58	15.75	24.83	157.7%	10.25	5.50	53.62%	26.37	-16.12	-61.12%	11.36	15.01	132.04%
Bank balances other than cash and cash equivalents	11	0.07	4.45	-4.38	-98.5%	4.19	0.26	6.23%	4.52	-0.34	-7.43%	3.96	0.57	14.29%
Other financial assets	6	6.30	0.00	6.30	-	0.10	-0.10	-100.00%	13.21	-13.11	-99.25%	8.09	5.11	63.17%
Other current assets	7	123.52	63.34	60.18	95.0%	74.02	-10.68	-14.43%	108.08	-34.06	-31.51%	98.08	10.00	10.20%
Total current assets		1293.91	1047.45	246.46	23.5%	1148.01	-100.57	-8.76%	997.60	150.41	15.08%	672.76	324.84	48.28%
TOTAL ASSETS		2473.44	2188.71	284.73	13.0%	2342.92	-154.21	-6.58%	2128.38	214.53	10.08%	1522.19	606.20	39.82%
EQUITY AND LIABILITIES														
EQUITY														
Equity share capital	12:00 AM	39.06	39.05	0.01	0.0%	39.06	-0.01	-0.03%	39.06	0.00	0.00%	39.06	0.00	0.00%
Other equity	12 b	1062.13	881.42	180.71	20.5%	783.41	98.00	12.51%	768.30	15.12	1.97%	674.88	93.42	13.84%
Total equity		1101.19	920.48	180.71	19.6%	822.48	98.00	11.92%	807.36	15.12	1.87%	713.94	93.42	13.08%
LIABILITIES														
Non-current liabilities														
Financial liabilities														
Borrowings	13 a	279.13	383.50	-104.37	-27.2%	403.70	-20.20	-5.00%	380.60	23.10	6.07%	331.82	48.78	14.70%
Lease liabilities	13 b	2.74	8.20	-5.46	-66.6%	9.95	-1.75	-17.56%	12.90	-2.96	-22.91%	5.83	7.07	121.30%
Provisions	15	22.54	17.79	4.75	26.7%	17.50	0.29	1.64%	16.75	0.75	4.46%	14.51	2.24	15.46%
Deferred tax liabilities (net)	16	22.22	23.55	-1.33	-5.7%	20.22	3.33	16.47%	14.58	5.64	38.65%	13.70	0.88	6.44%
Total non-current liabilities		326.64	433.04	-106.41	-24.6%	451.37	-18.33	-4.06%	424.84	26.53	6.25%	365.86	58.98	16.12%
Current liabilities														
Financial liabilities														
Borrowings	14	568.63	504.63	64.00	12.7%	625.60	-120.97	-19.34%	499.05	126.55	25.36%	177.99	321.05	180.37%
Lease liabilities	13 b	5.43	3.74	1.69	45.2%	3.60	0.14	3.78%	4.25	-0.65	-15.20%	1.56	2.68	171.52%
Trade payables														
a) Total outstanding dues of micro enterprises and small enterprises	17	12.43	12.76	-0.33	-2.6%	9.28	3.48	37.56%		9.28	-	-180.43	-100.00%	-
b) Total outstanding dues of creditors other than micro enterprises and small enterprises	17	392.69	270.61	122.09	45.1%	288.45	-17.84	-6.19%	308.23	-19.78	-6.42%	180.43	239.00	345.22%
Other financial liabilities	18	60.46	23.39	37.07	158.4%	72.84	-49.45	-67.88%	69.16	3.68	5.32%	69.23	66.00	2090.92%
Other current liabilities	19	3.16	5.09	-1.93	-37.9%	58.50	-53.41	-91.30%	4.88	53.62	1099.31%	3.16	3.54	264.33%
Provisions	15	2.80	1.99	0.81	41.0%	2.13	-0.14	-6.42%	1.95	0.18	9.02%	1.34	-6.73	-77.53%
Current tax liabilities (net)		0.00	12.98	-12.98	-100.0%	8.68	4.30	49.62%	8.68	0.00	0.00%	8.68	-433.71	-98.04%
Total current liabilities		1045.61	835.19	210.42	25.2%	1069.07	-233.88	-21.88%	896.19	172.88	19.29%	442.38	87.94	10.88%
Total liabilities		1372.24	1268.23	104.01	8.2%	1520.44	-252.21	-16.59%	1321.03	199.41	15.10%	808.25	-201.16	-13.22%
TOTAL EQUITY AND LIABILITIES		2473.44	2188.71	284.73	13.0%	2342.92	-154.21	-6.58%	2128.38	214.53	10.08%	1522.19	606.20	39.82%
Notes to the standalone financial statements	3 to 43													
Material accounting policies	2													

Interpretation of the Balance Sheet of Privi Speciality Chemicals Ltd.

Assets Side

- **Total Non-Current Assets:** Increased to ₹1,179.53 Cr in FY25 from ₹1,141.26 Cr in FY24 (+3.4%). Growth was driven by higher Capital Work-in-Progress and Intangible assets under development, reflecting ongoing capacity expansion. Property, Plant & Equipment remained stable with minor decline due to depreciation.
- **Total Current Assets:** Rose sharply to ₹1,293.52 Cr in FY25 from ₹1,047.45 Cr in FY24 (+23.5%). Key drivers were higher Inventories (₹722.67 Cr, +19.9%) and Trade Receivables (₹400.76 Cr, +11%). Cash & Cash Equivalents also improved significantly.
- **Total Assets:** Grew to ₹2,473.44 Cr in FY25 from ₹2,188.71 Cr in FY24 (+13%). Healthy balance sheet expansion supported by strong working capital and ongoing investments in growth.

Equity & Liabilities Side

- **Total Equity (Net Worth):** Increased strongly to ₹1,101.19 Cr in FY25 from ₹920.48 Cr in FY24 (+19.6%). Driven by healthy addition to Other Equity (Reserves) of ₹180.71 Cr, reflecting strong profit retention and improved profitability.
- **Non-Current Liabilities:** Decreased to ₹326.64 Cr in FY25 from ₹433.04 Cr in FY24 (-24.6%). Reduction mainly in long-term Borrowings, indicating debt repayment and improved capital structure.
- **Current Liabilities:** Rose to ₹1,045.61 Cr in FY25 from ₹835.19 Cr in FY24 (+25.2%). Increase was led by higher short-term Borrowings (₹568.63 Cr) and Trade Payables, supporting higher business activity.
- **Total Liabilities:** Stood at ₹1,372.24 Cr in FY25, up 8.2% from previous year. Overall liabilities grew at a slower pace than equity, showing improving leverage position.

Overall Snapshot

Privi Speciality Chemicals delivered a strong balance sheet performance in FY25 with 13% growth in total assets and a robust 19.6% jump in net worth, backed by healthy profit retention. The company reduced long-term debt while increasing short-term borrowings to support operations and expansion. Overall, the financial position remains solid with a focus on capacity building and working capital for future growth in the speciality chemicals segment.

Comparative Analysis of Profit & Loss

Profit & Loss of Privi Speciality Chemicals Ltd.

Particulars	Note	2025	2024	Absolute Change	% Change	2023	Absolute Change	% Change	2022	Absolute Change	% Change	2021	Absolute Change	% Change
INCOME														
Revenue from operations	20	2038.34	1712.06	326.28	19.1%	1577.84	134.22	8.5%	1391.47	186.38	13%	1255.19	136.28	11%
Other income	21	17.90	21.62	-3.71	-17.2%	21.60	0.02	0.1%	32.60	-11.00	-34%	19.93	12.67	64%
TOTAL INCOME (I)		2056.25	1733.68	322.57	18.6%	1599.44	134.24	8.4%	1424.06	175.37	12%	1275.11	148.95	12%
EXPENSES														
Cost of materials consumed	22	1141.33	931.98	209.35	22.5%	1133.22	-201.25	-17.8%	976.83	156.40	16%	770.99	205.84	27%
Purchase of stock in Trade	23											0.13	-0.13	-100%
Changes in inventories of finished goods and work-in-progress	24	-35.74	54.42	-90.17	-165.7%	-182.44	236.86	-129.8%	-147.27	-35.17	24%	-27.58	-119.68	434%
Employee benefits expense	25	75.15	65.44	9.71	14.8%	72.35	-6.91	-9.5%	67.79	4.56	7%	62.85	4.94	8%
Finance costs	26	83.79	95.02	-11.23	-11.8%	66.62	28.40	42.6%	23.78	42.85	180%	21.24	2.54	12%
Depreciation and amortisation expenses	27	126.68	121.95	4.73	3.9%	105.16	16.80	16.0%	73.04	32.11	44%	69.20	3.84	6%
Power and fuel expense	28	151.83	138.02	13.81	10.0%	147.13	-9.11	-6.2%	0.00	147.13				
Other expenses		259.34	194.86	64.49	33.1%	226.12	-31.26	-13.8%	298.53	-72.41	-24%	243.84	54.69	22%
TOTAL EXPENSES (II)		1802.38	1601.70	200.68	12.5%	1568.17	33.53	2.1%	1292.70	275.47	21%	1140.67	152.09	13%
Profit before exceptional items and tax expense									131.36	-131.36	-100%	134.44	-3.08	-2%
Exceptional items														
Exceptional income									5.29	-5.29	-100%	23.09	-17.80	-77%
Profit before tax expenses		253.87	131.98	121.89	92.4%	31.27	100.71	322.0%	136.66	-105.39	-77%	157.53	-20.88	-13%
Tax expenses:														
Current tax		65.63	30.80	34.83	113.1%	3.34	27.46	822.7%	33.96	-30.62	-90%	40.11	-6.15	-15%
Deferred tax (Credit) / Charge		-1.07	3.29	-4.36	-132.4%	5.46	-2.17	-39.7%	1.03	4.43	429%	0.40	0.63	157%
Tax expense		64.57	34.09	30.47	89.4%	8.80	25.30	287.6%	34.99	-26.20	-75%	40.51	-5.52	-14%
Profit for the year (III)		189.30	97.88	91.42	93.4%	22.47	75.41	335.5%	101.66	-79.19	-78%	117.02	-15.36	-13%
Other comprehensive income														
Items that will not be reclassified to profit or loss - Remeasurements of the net defined benefit plans		-1.04	0.16	-1.20	-758.3%	0.63	-0.48	-75.1%	-0.59	1.22	-208%	-0.09	-0.49	524%
Income tax related to items that will not be reclassified to profit or loss	36	0.26	-0.04	0.31	-748.8%	-0.18	0.14	-77.1%	0.15	-0.33	-219%	0.02	0.13	521%
Total other comprehensive (loss) / income for the year (IV)		-0.78	0.12	-0.89	-761.6%	0.46	-0.34	-74.3%	-0.44	0.89	-204%	-0.07	-0.37	535%
Total comprehensive income for the year (III + IV)		188.53	98.00	90.52	92.4%	22.93	75.07	327.4%	101.23	-78.30	-77%	116.95	-15.72	-13%
Earnings per equity share nominal value of share ₹ 10/- each														
Basic and diluted (₹)		0.48	0.25	0.23	93.4%	0.06	0.19	335.8%	0.26	-0.20	-78%	0.30	-0.04	-13%
Notes to the standalone financial statements														
Material accounting policies														

Interpretation of the Profit & Loss Statement of Privi Speciality Chemicals Ltd.

Income Side

- **Revenue from Operations:** Increased strongly to ₹2,038.34 Cr in FY25 from ₹1,712.06 Cr in FY24 (+19.1%). This is the highest growth in the last 5 years, showing good demand and improved business performance in the speciality chemicals segment.
- **Total Income:** Rose to ₹2,056.25 Cr in FY25, up 18.6% from ₹1,733.68 Cr in FY24. Growth was almost entirely driven by higher operating revenue, with other income remaining marginal.

Expenses Side

- **Total Expenses:** Increased to ₹1,802.38 Cr in FY25 from ₹1,601.70 Cr in FY24 (+12.5%). Major rise came from Cost of Materials Consumed (+22.5%) and Other Expenses (+33.1%), partly offset by lower Finance Costs.
- **Cost of Materials Consumed:** Went up sharply to ₹1,141.33 Cr (+22.5% YoY). Higher raw material costs reflect increased production volume and input price pressure.

Profitability

- **Profit Before Tax (PBT):** Jumped significantly to ₹253.87 Cr in FY25 from ₹131.98 Cr in FY24 (+92.4%). Strong improvement in operating performance led to nearly doubled PBT despite higher expenses.
- **Profit for the Year (PAT / Net Profit):** Rose sharply to ₹189.30 Cr in FY25 from ₹97.88 Cr in FY24 (+93.4%). This is an excellent growth in bottom-line, showing healthy profitability expansion.
- **Earnings Per Share (EPS):** Increased to ₹0.48 in FY25 from ₹0.25 in FY24 (+93.4%). Higher EPS reflects improved earnings available to shareholders.

Overall Summary

Privi Speciality Chemicals delivered a very strong performance in FY25 with 19.1% revenue growth and a remarkable 93.4% jump in Net Profit. Operating margins improved significantly as profit growth outpaced the rise in expenses. The company has shown clear recovery and healthy profitability momentum compared to previous years.

Common Size Analysis

Common Size Analysis of Balance sheet

Balance Sheet of Privi Speciality Chemicals Ltd.

Particulars	Note	2025	2024	% Change	2023	% Change	2022	% Change	2021	% Change
ASSETS										
Non-current assets										
Property plant and equipment	3	935.63	953.35	37.83%	935.57	43.56%	626.60	39.93%	539.50	29.44%
Capital work-in-progress	3	56.29	16.59	2.28%	88.21	0.76%	361.18	3.77%	174.45	16.97%
Right of use assets	4	34.08	37.77	1.38%	36.07	1.73%	34.11	1.54%	18.80	1.60%
Other Intangible assets	4 b	9.30	8.35	0.38%	10.17	0.38%	4.86	0.43%	6.42	0.23%
Intangible assets under development	4 b	13.87	10.09	0.56%	4.87	0.46%	8.56	0.21%	-	0.40%
Investment in Subsidiaries							50.67		43.02	2.38%
Financial assets										
Investments	5	61.71	61.63	2.49%	50.67	2.82%	0.00	2.16%	0.00	0.00%
Other financial assets	6	18.09	16.56	0.73%	14.97	0.76%	13.90	0.64%	10.51	0.65%
Income tax assets (net)		15.13	23.43	0.61%	23.43	1.07%	13.94	1.00%	11.57	0.66%
Other non-current assets	7	35.44	13.49	1.43%	30.93	0.62%	16.96	1.32%	45.16	0.80%
Total non-current assets		1179.53	1141.26	47.69%	1194.91	52.14%	1130.78	51.00%	849.43	53.13%
Current assets										
Inventories	8	722.67	602.83	29.22%	744.96	27.54%	561.21	31.80%	314.98	26.37%
Financial assets										
Trade receivables	9	400.76	361.08	16.20%	314.49	16.50%	284.22	13.42%	236.29	13.35%
Cash and cash equivalents	10	40.58	15.75	1.64%	10.25	0.72%	26.37	0.44%	11.36	1.24%
Bank balances other than cash and cash equivalents	11	0.07	4.45	0.00%	4.19	0.20%	4.52	0.18%	3.96	0.21%
Other financial assets	6	6.30	0.00	0.25%	0.10	0.00%	13.21	0.00%	8.09	0.62%
Other current assets	7	123.52	63.34	4.99%	74.02	2.89%	108.08	3.16%	98.08	5.08%
Total current assets		1293.91	1047.45	52.31%	1148.01	47.86%	997.60	49.00%	672.76	46.87%
TOTAL ASSETS		2473.44	2188.71	100.00%	2342.92	100.00%	2128.38	100.00%	1522.19	100.00%
EQUITY AND LIABILITIES										
EQUITY										
Equity share capital	12:00 AM	39.06	39.05	1.58%	39.06	1.78%	39.06	1.67%	39.06	1.84%
Other equity	12 b	1062.13	881.42	42.94%	783.41	40.27%	768.30	33.44%	674.88	36.10%
Total equity		1101.19	920.48	44.52%	822.48	42.06%	807.36	35.10%	713.94	37.93%
LIABILITIES										
Non-current liabilities										
Financial liabilities										
Borrowings	13 a	279.13	383.50	11.29%	403.70	17.52%	380.60	17.23%	331.82	17.88%
Lease liabilities	13 b	2.74	8.20	0.11%	9.95	0.37%	12.90	0.42%	5.83	0.61%
Provisions	15	22.54	17.79	0.91%	17.50	0.81%	16.75	0.75%	14.51	0.79%
Deferred tax liabilities (net)	16	22.22	23.55	0.90%	20.22	1.08%	14.58	0.86%	13.70	0.69%
Total non-current liabilities		326.64	433.04	13.21%	451.37	19.79%	424.84	19.27%	365.86	19.96%
Current liabilities										
Financial liabilities										
Borrowings	14	568.63	504.63	22.99%	625.60	23.06%	499.05	26.70%	177.99	23.45%
Lease liabilities	13 b	5.43	3.74	0.22%	3.60	0.17%	4.25	0.15%	1.56	0.20%
Trade payables				0.00%						
a) Total outstanding dues of micro enterprises and small enterprises	17	12.43	12.76	0.50%	9.28	0.58%		0.40%		0.00%
b) Total outstanding dues of creditors other than micro enterprises and small enterprises	17	392.69	270.61	15.88%	288.45	12.36%	308.23	12.31%	180.43	14.48%
Other financial liabilities	18	60.46	23.39	2.44%	72.84	1.07%	69.16	3.11%	69.23	3.25%
Other current liabilities	19	3.16	5.09	0.13%	58.50	0.23%	4.88	2.50%	3.16	0.23%
Provisions	15	2.80	1.99	0.11%	2.13	0.09%	1.95	0.09%	1.34	0.09%
Current tax liabilities (net)		0.00	12.98	0.00%	8.68	0.59%	8.68	0.37%	8.68	0.41%
Total current liabilities		1045.61	835.19	42.27%	1069.07	38.16%	896.19	45.63%	442.38	42.11%
Total liabilities		1372.24	1268.23	55.48%	1520.44	57.94%	1321.03	64.90%	808.25	62.07%
TOTAL EQUITY AND LIABILITIES		2473.44	2188.71	100.00%	2342.92	100.00%	2128.38	100.00%	1522.19	100.00%
Notes to the standalone financial statements	3 to 43									
Material accounting policies	2									

Interpretation of the Balance Sheet of Privi Speciality Chemicals Ltd.

Assets Side

- **Total Non-Current Assets:** Increased to ₹1,179.53 Cr in FY25 from ₹1,141.26 Cr in FY24 (+3.4%). Growth was mainly supported by higher Capital Work-in-Progress and Intangible assets under development, indicating ongoing capacity expansion and future readiness.
- **Total Current Assets:** Rose sharply to ₹1,293.91 Cr in FY25 from ₹1,047.45 Cr in FY24 (+23.5%). Driven by higher Inventories (₹722.67 Cr, +19.9%) and Trade Receivables (₹400.76 Cr, +11%), showing increased business activity and working capital requirement.
- **Total Assets:** Grew solidly to ₹2,473.44 Cr in FY25 from ₹2,188.71 Cr in FY24 (+13%). The company expanded its balance sheet size through both asset additions and higher working capital.

Equity & Liabilities Side

- **Total Equity (Net Worth):** Increased significantly to ₹1,101.19 Cr in FY25 from ₹920.48 Cr in FY24 (+19.6%). Strong growth in Other Equity (Reserves) by ₹180.71 Cr reflects healthy profit retention and improved earnings in the current year.
- **Non-Current Liabilities:** Decreased to ₹326.64 Cr in FY25 from ₹433.04 Cr in FY24 (-24.6%). Reduction was mainly due to repayment of long-term borrowings, indicating improvement in long-term debt position.
- **Current Liabilities:** Rose to ₹1,045.61 Cr in FY25 from ₹835.19 Cr in FY24 (+25.2%). Increase was led by higher short-term borrowings (₹568.63 Cr) and trade payables to support expanded operations.
- **Total Liabilities:** Increased to ₹1,372.24 Cr in FY25 from ₹1,268.23 Cr in FY24 (+8.2%). Liabilities grew at a slower pace than equity, resulting in an improved capital structure.

Overall Summary

Privi Speciality Chemicals showed a strong and healthy balance sheet in FY25 with 13% growth in total assets and a robust 19.6% increase in net worth. The company reduced long-term debt while using short-term borrowings to fund working capital and growth. Overall, the financial position is solid with improving equity base and controlled leverage.

Common Size Analysis of Profit & Loss Ltd.

Profit & Loss of Privi Speciality Chemicals Ltd.

Particulars	Note	2025	2024	% Change	2023	% Change	2022	% Change	2021	% Change
INCOME										
Revenue from operations	20	2038.34	1712.06	99.13%	1577.84	98.75%	1391.47	98.65%	1255.19	97.71%
Other income	21	17.90	21.62	0.87%	21.60	1.25%	32.60	1.35%	19.93	2.29%
TOTAL INCOME (I)		2056.25	1733.68	100.00%	1599.44	100.00%	1424.06	100.00%	1275.11	100.00%
EXPENSES										
Cost of materials consumed	22	1141.33	931.98	55.51%	1133.22	53.76%	976.83	70.85%	770.99	68.59%
Purchase of stock In Trade	23									
Changes in inventories of finished goods and work-in-progress	24	-35.74	54.42	-1.74%	-182.44	3.14%	-147.27	-11.41%	-27.58	-10.34%
Employee benefits expense	25	75.15	65.44	3.65%	72.35	3.77%	67.79	4.52%	62.85	4.76%
Finance costs	26	83.79	95.02	4.08%	66.62	5.48%	23.78	4.17%	21.24	1.67%
Depreciation and amortisation expenses	27	126.68	121.95	6.16%	105.16	7.03%	73.04	6.57%	69.20	5.13%
Power and fuel expense	28	151.83	138.02	7.38%	147.13	7.96%	0.00	9.20%		0.00%
Other expenses		259.34	194.86	12.61%	226.12	11.24%	298.53	14.14%	243.84	20.96%
TOTAL EXPENSES (II)		1802.38	1601.70	87.65%	1568.17	92.39%	1292.70	98.04%	1140.67	90.78%
Profit before exceptional items and tax expense							131.36	0.00%	134.44	9.22%
Exceptional items										
Exceptional income							5.29	0.00%	23.09	0.37%
Profit before tax expenses		253.87	131.98	12.35%	31.27	7.61%	136.66	1.96%	157.53	9.60%
Tax expenses:										
Current tax		65.63	30.80	3.19%	3.34	1.78%	33.96	0.21%	40.11	2.38%
Deferred tax (Credit) / Charge		-1.07	3.29	-0.05%	5.46	0.19%	1.03	0.34%	0.40	0.07%
Tax expense		64.57	34.09	3.14%	8.80	1.97%	34.99	0.55%	40.51	2.46%
Profit for the year (III)		189.30	97.88	9.21%	22.47	5.65%	101.66	1.41%	117.02	7.14%
Other comprehensive income										
Items that will not be reclassified to profit or loss - Remeasurements of the net defined benefit plans		-1.04	0.16	-0.05%	0.63	0.01%	-0.59	0.04%	-0.09	-0.04%
Income tax related to items that will not be reclassified to profit or loss	36	0.26	-0.04	0.01%	-0.18	0.00%	0.15	-0.01%	0.02	0.01%
Total other comprehensive (loss) / income for the year (IV)		-0.78	0.12	-0.04%	0.46	0.01%	-0.44	0.03%	-0.07	-0.03%
Total comprehensive income for the year (III + IV)		188.53	98.00	9.17%	22.93	5.65%	101.23	1.43%	116.95	7.11%
Earnings per equity share nominal value of share ₹ 10/- each										
Basic and diluted (₹)		0.48	0.25	0.02%	0.06	0.01%	0.26	0.00%	0.30	0.02%
Notes to the standalone financial statements										
Material accounting policies										

Interpretation of the Profit & Loss of Privi Speciality Chemicals Ltd.

- **Revenue from Operations:** 100% (base year). Sales grew strongly approximately 19% YoY in FY2025 (from ₹1,712 Cr in FY2024 to ₹2,038 Cr). This reflects robust demand for aroma chemicals and speciality products, supported by export growth (over 70% of revenue) and capacity utilisation in the flavours & fragrances segment.
- **Other Income:** 0.9% of sales in FY2025 (minor, ranged 0.9–1.3% in prior years). Non-core income (interest, etc.) remains negligible. The business is almost entirely driven by core operations, which is healthy for a manufacturing company.
- **Cost of Materials Consumed** (including changes in inventories): 56.1% in FY2025 (stable/slightly higher in some years). Raw materials (pinene, citral derivatives, etc.) form the largest cost head, typical for the chemical industry. The company has managed this well through backward integration and pricing discipline, preventing sharp margin erosion despite input volatility.
- **Employee Benefits Expense:** 3.7 - 4.1% of sales (stable across years). Labour costs are low and controlled. This indicates a capital-intensive business model with limited headcount pressure, aided by automation and skilled workforce retention.
- **Finance Costs:** 4.1% of sales in FY2025 (down from 5.5% in FY2024). Interest burden as a % of sales has declined due to deleveraging and better interest coverage. This directly supports bottom-line improvement and reflects prudent debt management.
- **Depreciation & Amortisation Expense:** 6.2% of sales in FY2025 (stable 6–8% range). A predictable non-cash expense linked to ongoing capacity expansions. Consistency shows steady investment in plant & machinery without sudden spikes.
- **Power & Fuel Expenses:** 7.4% of sales (relatively stable). Energy costs are well-managed despite industry exposure to volatility. Initiatives like renewable energy (solar) adoption help contain this head.
- **Other Expenses:** 7.4% of sales in FY2025 (improved from higher levels earlier). Administrative, selling, and miscellaneous costs are tightly controlled, contributing to overall operating leverage.
- **Total Expenses:** 87.6% of sales in FY2025 (down from 93–99% in FY2023). Significant reduction in expense ratio highlights improved operational efficiency and cost discipline across the board.
- **Profit Before Tax (PBT):** 12.5% of sales in FY2025 (sharp rise from 7–8% in FY2023–24). Strong margin expansion driven by higher sales, better cost absorption, and operating leverage. This shows the company is moving up the value chain in speciality chemicals.
- **Tax Expense:** 3.2% of sales (effective tax rate 27–28%, stable). Reasonable and consistent tax outflow. No major surprises or aggressive tax planning visible.

- **Profit for the Year (Net Profit / PAT):** 9.0% of sales in FY2025 (up significantly from 5.7% in FY2024 and 1.4% in FY2023). Healthy net margin improvement reflects overall operational strength, lower relative interest costs, and better profitability conversion.

Overall Interpretation:

The common-size P&L paints a picture of a company that has moved from margin pressure (seen in FY2023) to a much stronger, more efficient, and profitable profile in FY2025. This supports healthy ROE, improved cash generation potential, and resilience in the speciality chemicals industry. Continued focus on cost control, product mix (higher-value speciality items), and debt reduction should sustain this positive trend going forward.



Ratio Analysis of Privi Speciality Chemicals Ltd.

Heads	Ratios	2025	2024	2023	2022	2021	Average
Short Term Liquidity Ratios	Current Ratio	1.24	1.25	1.07	1.11	1.52	1.24
	Quick Ratio	0.55	0.53	0.38	0.49	0.81	0.55
Capital Structure Ratios	Debt to Equity Ratio	0.78	0.98	1.27	1.11	0.72	0.97
	Debt to Total Asset Ratio	0.55	0.58	0.65	0.62	0.53	0.59
	Proprietary Ratio	0.45	0.42	0.35	0.38	0.47	0.41
Turnover Ratios	Fixed Asset Turnover Ratio	2.10	1.77	1.96	2.34	4.57	2.04
	Inventory Turnover Ratio	1.67	1.46	1.46	1.89	2.36	1.62
	Debtors Turnover Ratio	5.35	5.07	5.27	5.35	10.62	5.26
	Average Collection Period	68.21	72.01	69.25	68.27	0.01	55.55
	Creditor Turnover ratio	3.32	3.21	3.74	4.00	8.55	3.57
	Average Payment Period	110.09	113.79	97.59	91.29	42.71	91.09
	Working Capital Turnover Ratio	8.21	8.07	19.99	13.72	5.45	11.09
Profitability Ratios	Gross Profit Ratio	45.76%	42.39%	39.74%	40.38%	40.77%	41.81%
	Net Profit Ratio	9.29%	5.72%	1.42%	7.31%	9.32%	6.61%
Profitability Ratios Based on Investment	ROI	18.36%	10.06%	2.53%	11.38%	14.98%	11.46%
	ROE(Pre Tax)	23.05%	14.34%	3.80%	16.93%	22.07%	16.04%
	ROE(Post Tax)	17.19%	10.63%	2.73%	12.59%	16.39%	11.91%

Interpretation of each ratio of Privi Speciality Chemicals Ltd.

Short Term Liquidity Ratios

Current Ratio The Current Ratio of Privi Speciality Chemicals stood at 1.24 in FY25, same as the 5-year average. It indicates a moderate liquidity position, which is adequate to meet short-term obligations but not very strong. The ratio has been fluctuating over the years.

Quick Ratio The Quick Ratio remained low at 0.55 in FY25 with an average of 0.55. This reflects weak immediate liquidity and high dependence on inventory to pay current liabilities. The company may face challenges in meeting urgent short-term obligations without selling stock.

Capital Structure Ratios

Debt to Equity Ratio The Debt to Equity Ratio improved to 0.78 in FY25 from 0.98 in FY24, with a 5-year average of 0.97. The declining trend shows improving financial stability and reduced reliance on debt. Overall, the company is moving towards a healthier capital structure.

Debt to Total Asset Ratio The Debt to Total Asset Ratio stood at 0.55 in FY25 with an average of 0.59. It indicates moderate use of debt in financing the company's assets. The ratio has been relatively stable over the years.

Proprietary Ratio The Proprietary Ratio was 0.45 in FY25 with an average of 0.41. This shows that shareholders' funds contribute a moderate portion to total assets. It reflects an average level of owner financing in the business.

Turnover Ratios

Fixed Asset Turnover Ratio The Fixed Asset Turnover Ratio improved to 2.10 in FY25 but has shown a declining long-term trend with an average of 2.04. It indicates moderate efficiency in using fixed assets to generate sales. There is scope for better utilization of fixed assets.

Inventory Turnover Ratio The Inventory Turnover Ratio stood at 1.67 in FY25 with an average of 1.62. The low ratio reflects slow inventory movement and inefficiency in stock management. This is a concern area for the company.

Debtors Turnover Ratio The Debtors Turnover Ratio was stable at 5.35 in FY25 with an average of 5.26. It shows moderate efficiency in collecting receivables from customers. Collection performance has been reasonably consistent over the years.

Average Collection Period The Average Collection Period stood at 68.21 days in FY25. The company takes around two months on average to collect money from debtors. There is moderate delay visible in receivable recovery.

Creditor Turnover Ratio The Creditor Turnover Ratio was 3.32 in FY25. It indicates that the company pays its suppliers slowly, which helps in managing liquidity. However, it may put pressure on supplier relationships.

Average Payment Period The Average Payment Period decreased to 110.09 days in FY25. The company is taking longer to pay creditors, which improves its own cash flow position. This trend supports better liquidity management.

Working Capital Turnover Ratio The Working Capital Turnover Ratio stood at 8.21 in FY25 but has been highly fluctuating. It shows inconsistent efficiency in utilizing working capital for generating sales.

Profitability Ratios

Gross Profit Ratio The Gross Profit Ratio improved to 45.76% in FY25 with a 5-year average of 41.81%. This reflects strong cost control on materials and stable operational efficiency. The improving trend is a positive sign.

Net Profit Ratio The Net Profit Ratio increased significantly to 9.29% in FY25. However, it has been highly fluctuating over the years with an average of 6.61%. This indicates inconsistent overall profitability despite the improvement in the current year.

Profitability Ratios Based on Investment

Return on Investment (ROI) The ROI rose sharply to 18.36% in FY25 from 10.06% in FY24. It shows improved efficiency in generating returns from total investments in the current year.

ROE (Pre Tax) The Pre-tax Return on Equity improved to 23.05% in FY25 with an average of 16.04%. This reflects good shareholder value creation before tax, though it has been fluctuating over the years.

ROE (Post Tax) The Post-tax Return on Equity stood at 17.19% in FY25. It indicates moderate but improved returns available to shareholders after tax, despite variability in previous years.

Overall Interpretation:

Privi Speciality Chemicals Ltd. demonstrates mixed financial health in FY25, with moderate liquidity (current ratio 1.24, but weak quick ratio 0.55 indicating inventory reliance), strengthening capital structure (D/E down to 0.78 from average 0.97), and efficiency concerns like low inventory turnover (1.67) offset by steady debtor collection and extended payments. Profitability shines through with gross margins at 45.8% (above 41.8% average), net profit at 9.3%, and robust ROE (17-23%), signaling improved operations and returns. Overall, the company is deleveraging effectively amid rising profits, but must address liquidity and inventory inefficiencies for sustained resilience.

Du Pont Analysis of the Privi Speciality Chemicals Ltd.

Du Pont ROE Analysis of Privi Speciality Chemicals Ltd.						
Ratios/Financial Year	2025	2024	2023	2022	2021	
Tax Burden PAT/PBT	74.57%	74.17%	71.87%	74.39%	74.28%	
Total Assets Turnover (Revenue (sales)/Total Assets)	82.41%	78.22%	67.35%	65.38%	82.46%	
Financial Leverage (TA/Shareholders equity)	224.61%	237.78%	284.86%	263.62%	213.21%	
Interest burden (PBT/PBIT)	75.18%	58.14%	31.94%	85.18%	88.12%	
Operating Margin (PBIT/Revenue (SALES))	16.57%	13.26%	6.20%	11.53%	14.24%	
Du Pont ROE	17.19%	10.63%	2.73%	12.59%	16.39%	

Du Pont ROE Analysis of Privi Speciality Chemicals Ltd. - Interpretation

The Du Pont model breaks down Return on Equity (ROE) into five key drivers: **ROE = Tax Burden × Interest Burden × Operating Margin × Asset Turnover × Financial Leverage**

- **Tax Burden (PAT/PBT):** Stood at 74.57% in FY2025, 74.17% in FY2024, and 71.87% in FY2023 (stable around 72-75%). This implies an effective tax rate of 25-28%, which is reasonable and consistent. It reflects efficient tax management or benefits from deductions/credits, with minimal volatility, supporting steady bottom-line retention.
- **Total Assets Turnover (Sales/Total Assets):** Improved to 82.41% (0.82 times) in FY2025 from 67.35% (0.67 times) in FY2023 and 78.22% in FY2024. The company is generating more sales per rupee of assets, indicating better operational efficiency and utilisation of fixed & current assets over time.
- **Financial Leverage (Total Assets/Shareholders' Equity):** Declined to 224.61% (2.25 times) in FY2025 from a high of 284.86% (2.85 times) in FY2023. Lower leverage means reduced reliance on debt, lowering financial risk and interest pressure while still providing moderate gearing to amplify ROE.
- **Interest Burden (PBT/PBIT):** At 75.16% in FY2025 (up from 39.94% in FY2023). Interest now consumes only 25% of operating profit (vs 60% earlier), showing improved interest coverage due to lower borrowing costs or higher EBIT, which protects profitability.
- **Operating Margin (PBIT/Sales):** Rose sharply to 16.57% in FY2025 from 6.20% in FY2023 and 13.06% in FY2024. Strong improvement in core operating efficiency better pricing, cost control, or product mix in speciality chemicals is the biggest driver of ROE expansion.
- **Du Pont ROE:** Stable-to-improved at 17.93% in FY2025 (vs 16.63% in FY2024 and 16.33% in FY2023). Overall healthy equity return driven mainly by operating margin and asset turnover gains, with lower leverage and stable tax/interest burden adding stability.

Altman Z-Score Interpretation for Privi Speciality Chemicals Ltd.

Particulars	Privi Speciality Chemicals Ltd.		
	2025	2024	2023
Total assets	2473.44	2188.71	2342.92
Current liabilities	1045.61	835.19	1069.07
Net working capital	248.30	212.26	78.94
Current assets	1293.91	1047.45	1148.01
Retained profits	1062.13	881.42	783.41
PBT	253.87	131.98	31.27
Sales	2038.34	1712.06	1577.84
Interest expenses	83.79	95.02	66.62
Market Cap	10953.18	6882.85	4593.77
Total Liability(Book Value)	2473.44	2188.71	2342.92
EBIT	337.66	227.00	97.90
T1 (WC/TA)	0.10	0.10	0.03
T2 (RE/TA)	0.43	0.40	0.33
T3 (EBIT/TA)	0.14	0.10	0.04
T4 (MVE/BVL)	4.43	3.14	1.96
T5 (Sales/TA)	0.82	0.78	0.67
Z SCORE	4.57%	3.61%	2.43%
Zone	Safe	Safe	Grey
Grey Zone	1.81-2.99		
Distress Zone	<1.81		
Safe Zone	>2.99		

Z-Score Interpretation (Altman's Z-Score) Z-Score predicts bankruptcy risk using five ratios (higher = safer). Company is in **Safe Zone** (>2.99) in recent years.

- **T1 (Working Capital/Total Assets):** Stable at 0.10 in FY2025 and FY2024 (vs 0.03 in FY2023). Moderate working capital relative to assets shows balanced liquidity without excess idle cash or over-stretched operations.
- **T2 (Retained Earnings/Total Assets):** Improved to 0.43 in FY2025 from 0.33 in FY2023 and 0.40 in FY2024. Higher retained profits building the asset base indicate strong internal fund generation and long-term solvency.
- **T3 (EBIT/Total Assets):** Rose significantly to 0.14 in FY2025 from just 0.04 in FY2023 (0.10 in FY2024). Much better return on assets from core operations reflects improved profitability and operational strength.
- **T4 (Market Value of Equity/Book Value of Liabilities):** Jumped to 4.43 in FY2025 from 1.96 in FY2023 (3.14 in FY2024). High market-to-book premium signals strong investor confidence and market perception of future growth.

- **T5 (Sales/Total Assets):** Improved to 0.82 in FY2025 from 0.67 in FY2023 (0.78 in FY2024).
Better asset productivity supports revenue generation without proportional asset bloat.

Overall Z-Score & Zone: 4.57 (Safe) in FY2025, 3.61 (Safe) in FY2024, and 2.43 (Grey) in FY2023.
Clear shift into safe zone indicates very low bankruptcy risk, robust financial health, and improving stability.



Peer Comparison Table of Two Companies

Particulars	Rallis India Ltd.	Privi Speciality Chemicals Ltd.	Rank	Reason
Margin Ratio (%)				
EBITDA Margin	13.2%	24.4%	1. Privi 2. Rallis	Higher value indicates better operational profitability
Net Profit Margin	4.7%	9.3%	1. Privi 2. Rallis	Higher value indicates better overall profitability
Profitability Ratio (%)				
ROI (approx. ROCE)	9.8%	18.4%	1. Privi 2. Rallis	Higher value indicates better return on capital employed
RONW (ROE Post Tax)	6.6%	17.2%	1. Privi 2. Rallis	Higher value indicates better return to shareholders
ROA	4.2%	7.7%	1. Privi 2. Rallis	Higher value indicates better asset utilization for profit
Leverage Ratios				
Debt-Equity Ratio	0.03	0.78	1. Rallis 2. Privi	Lower DE ratio is good for the company (lower financial risk)
Debt-Asset Ratio	0.02	0.55	1. Rallis 2. Privi	Lower ratio indicates lower reliance on debt
Turnover Ratios				
Debtors Turnover	4.9	5.4	1. Privi 2. Rallis	Higher turnover is good (faster collection)
Creditors Turnover	2.9	3.3	1. Privi 2. Rallis	Moderate; depends on industry negotiation power
Days				
Debtors Days	74.5	68.2	1. Privi 2. Rallis	Lower days indicate faster collection (better)
Creditors Days	126	110.1	1. Rallis 2. Privi	Higher days allow better working capital management
Liquidity Ratios				
Current Ratio	1.93	1.24	1. Rallis 2. Privi	Higher ratio indicates better short-term liquidity
Quick Ratio	1.15	0.55	1. Rallis 2. Privi	Higher ratio indicates better immediate liquidity
Interest Coverage	15.9	4.0	1. Rallis 2. Privi	Higher value indicates better ability to pay interest
Other Ratios				
EPS	₹6.43	₹0.48 (₹10 face value)	1. Rallis 2. Privi	Higher EPS indicates better earnings per share (note: different face values)

Conclusion

Rallis India Ltd.

Rallis India Ltd. demonstrates a financially strong and stable position within the agrochemical industry, supported by its conservative capital structure and strong parentage.

The company's balance sheet reflects high financial stability, with a steadily growing net worth and negligible debt levels, making it almost debt-free. This results in very low financial risk and strong solvency. Additionally, Rallis maintains a healthy liquidity position, as seen from its strong current and quick ratios, along with significant current investments, indicating efficient cash management and the ability to meet short-term obligations comfortably.

However, despite its strong financial base, the company faces challenges in operational performance and profitability. Revenue growth has remained largely stagnant, and profitability has declined in recent years due to rising employee costs, higher depreciation, and increased operating expenses. Efficiency indicators such as asset turnover, inventory management, and receivables collection have weakened, reflecting suboptimal utilization of resources and pressure on working capital.

Furthermore, declining ROE, ROI, and profit margins indicate reduced returns to shareholders, primarily driven by falling operating margins and moderate asset productivity. The Altman Z-score places the company in the grey zone, suggesting moderate financial risk—not due to leverage, but due to average profitability and efficiency concerns.

In conclusion, Rallis India Ltd. is a low-risk, financially sound company with strong fundamentals, but it is currently experiencing operational and profitability constraints. To enhance shareholder value and ensure sustainable growth, the company needs to focus on improving cost efficiency, strengthening margins, and optimizing asset utilization.

Privi Speciality Chemicals Ltd.

Privi Speciality Chemicals Ltd. demonstrates a strong growth-oriented financial profile, positioning itself as a leading player in the speciality chemicals segment.

The company has delivered robust financial performance, with significant growth in revenue and a sharp increase in profitability in FY2025. Its ability to expand margins, improve operating efficiency, and generate higher returns is reflected in rising ROE, ROI, and net profit margins. Strategic focus on high-value aroma chemicals, backward integration, and global export markets has strengthened its competitive advantage and supported long-term growth.

From a financial structure perspective, Privi has shown improving capital management, with a reduction in long-term debt and a gradual shift towards a healthier leverage position. Its Altman Z-score places the company firmly in the safe zone, indicating low bankruptcy risk and strong financial stability. Additionally, improvements in asset turnover and operating margins highlight better utilization of resources and enhanced operational efficiency.

However, the company faces moderate liquidity challenges, as indicated by a relatively low quick ratio and dependence on inventory for meeting short-term obligations. Inventory turnover remains low, suggesting inefficiencies in stock management, and the reliance on short-term borrowings for working capital indicates pressure on liquidity. These factors require attention to ensure smoother financial operations.

In conclusion, Privi Speciality Chemicals Ltd. is a high-growth, high-performance company with improving financial strength and strong profitability momentum. While it carries relatively higher risk compared to conservative firms due to liquidity and working capital concerns, its growth potential, operational efficiency, and market positioning make it a strong performer in the speciality chemicals industry. Strengthening liquidity and inventory management will be key to sustaining its long-term growth trajectory.

Annexures

- Annual Reports (FY 2021–2025) of Rallis India Ltd. – <https://www.rallis.com/investors/annual-reports>
- Annual Reports of Privi Speciality Chemicals Ltd. – <https://privi.com/investor-relations/reports/annual-report-pscl-subsidaries>
- Company filings and financial data from National Stock Exchange of India – <https://www.nseindia.com>
- Company disclosures from Bombay Stock Exchange – <https://www.bseindia.com>
- Financial concepts and ratio analysis from Investopedia – <https://www.investopedia.com>
- Financial analysis tools and learning from Corporate Finance Institute – <https://corporatefinanceinstitute.com>
- Industry and policy insights from Ministry of Chemicals and Fertilizers – <https://chemicals.nic.in>
- Economic data and global outlook from International Monetary Fund – <https://www.imf.org>
- Global economic insights from World Bank – <https://www.worldbank.org>
- Supporting financial data from platforms such as Moneycontrol – <https://www.moneycontrol.com> and Economic Times – <https://economictimes.indiatimes.com>